

NMLS SAFE MLO

Full-Length Practice Exam 2

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	100%	120

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM 2 — QUESTIONS (1–120)**■ Federal Laws ■***[Federal Laws — TRID]*

1. A borrower submits a complete mortgage application on Monday. Under TRID rules, by what day must the lender deliver the Loan Estimate?

- A) The following Monday
- B) Wednesday of the same week
- C) Thursday of the same week
- D) Friday of the same week

[Federal Laws — TRID]

2. A Closing Disclosure must be provided to the borrower at least how many business days before consummation of a loan?

- A) 3 business days
- B) 1 business day
- C) 5 business days
- D) 7 business days

[Federal Laws — TRID]

3. Under TRID, which of the following is a valid 'changed circumstance' that permits a creditor to issue a revised Loan Estimate with increased fees?

- A) The loan officer made an error in the original fee estimate
- B) The borrower requests a longer rate lock period
- C) The lender's processing department increases internal overhead fees
- D) The subject property is found to require a specialized appraisal due to a unique characteristic discovered after application

[Federal Laws — TRID]

4. The TRID '3-7-3 rule' refers to which set of timing requirements?

- A) 3-day LE delivery, 7-day underwriting review, 3-year rescission window
- B) 3-day LE delivery, 7-day LE-to-consummation minimum, 3-day CD-to-consummation minimum
- C) 3-day CD delivery, 7-day processing period, 3-day borrower review
- D) 3-day LE delivery, 7-week loan processing, 3-day CD delivery

[Federal Laws — RESPA]

5. Under RESPA Section 8, which arrangement involving an affiliated title company is permissible?

- A) No disclosure is required as long as no cash changes hands between the parties
- B) The affiliated title company may pay the lender a 10% marketing fee of its revenue
- C) The lender may require borrowers to use the affiliated company as a loan condition
- D) The lender discloses the affiliation in writing, does not require use, and any return reflects bona fide ownership

[Federal Laws — RESPA]

6. A borrower submits a Qualified Written Request (QWR) to their loan servicer on March 1. By what date must the servicer send written acknowledgment?

- A) March 6 (5 calendar days)
- B) March 6 (5 business days)
- C) March 31 (30 calendar days)
- D) April 30 (approximately 30 business days)

[Federal Laws — RESPA]

7. At the annual escrow analysis, the servicer discovers a projected shortage of \$240. The maximum repayment period the servicer may spread this shortage over is:

- A) 12 months
- B) 6 months
- C) 3 months
- D) 24 months

[Federal Laws — RESPA]

8. RESPA's escrow cushion rule allows servicers to hold a maximum cushion of how many months of projected escrow payments?

- A) 1 month
- B) 1.5 months
- C) 2 months
- D) 3 months

[Federal Laws — TILA]

9. Under TILA, the right of rescission applies to which of the following transactions?

- A) A refinance on a borrower's primary residence that creates a new lien
- B) A purchase money mortgage on a primary residence
- C) A refinance on a non-owner-occupied investment property
- D) A home equity loan on a vacation second home

[Federal Laws — TILA]

10. A lender discloses an APR of 6.50% on a conventional fixed-rate mortgage. The actual APR is later calculated to be 6.65%. Under TILA, this disclosure is:

- A) Accurate; no APR tolerance applies under TILA
- B) Accurate; the 1/4% tolerance covers all loan types
- C) Inaccurate; it exceeds the 1/8% tolerance for regular transactions
- D) Accurate; the 1/8% tolerance covers this difference

[Federal Laws — TILA]

11. If a creditor fails to properly disclose the right of rescission, the borrower's extended rescission period is:

- A) 1 year from consummation
- B) 3 years from consummation
- C) 5 years from consummation
- D) Indefinitely until the lender provides correct disclosures

[Federal Laws — TILA]

12. When must ARM disclosures (including the CHARM booklet) be provided to a borrower under TILA?

- A) At loan consummation
- B) Within 3 business days after receiving the application
- C) Only when the borrower specifically requests the disclosures
- D) At the time the application form is provided or before the consumer pays any non-refundable fee, whichever is earlier

[Federal Laws — ECOA]

13. Under ECOA, a lender must notify an applicant of action taken on their credit application within how many days of receiving a completed application?

- A) 14 days
- B) 30 days
- C) 45 days

D) 60 days

[Federal Laws — ECOA]

14. ECOA protects applicants on the basis of all of the following EXCEPT:

- A) Marital status
- B) Receipt of public assistance income
- C) National origin
- D) Sexual orientation

[Federal Laws — ECOA]

15. Under ECOA's appraisal copy requirements, when must a copy of an appraisal or written valuation be provided to a loan applicant?

- A) At the loan closing
- B) Within 5 business days of the appraisal's completion
- C) Promptly upon completion, or 3 business days before consummation, whichever is earlier
- D) Only if the borrower requests it in writing

[Federal Laws — ECOA]

16. A lender's policy requires a minimum loan amount of \$75,000. Data shows this policy disproportionately denies applications from minority applicants in lower-income census tracts. This is an example of:

- A) Disparate impact discrimination
- B) Disparate treatment discrimination
- C) Redlining
- D) Steering

[Federal Laws — Fair Housing]

17. The Fair Housing Act prohibits discrimination based on all of the following EXCEPT:

- A) Familial status
- B) Handicap (disability)
- C) Marital status
- D) National origin

[Federal Laws — Fair Housing]

18. An MLO consistently recommends higher-rate loan products to African American applicants who qualify for lower-rate products, while offering the lower rates to similarly qualified White applicants. This practice is BEST described as:

- A) Steering
- B) Redlining
- C) Blockbusting
- D) Disparate impact

[Federal Laws — HOEPA]

19. Under HOEPA, a first-lien mortgage is classified as a high-cost mortgage when its APR exceeds the Average Prime Offer Rate (APOR) by more than:

- A) 3.5 percentage points
- B) 4.5 percentage points
- C) 5.0 percentage points
- D) 6.5 percentage points

[Federal Laws — HOEPA]

20. Which of the following is PROHIBITED on a HOEPA high-cost mortgage?

- A) Charging a fixed origination fee disclosed on the Loan Estimate
- B) Including a balloon payment due within 5 years of origination
- C) Requiring the borrower to maintain a homeowner's insurance policy
- D) Charging a yield spread premium disclosed to the borrower

[Federal Laws — HMDA]

21. Under HMDA, which of the following loans is NOT reportable on the Loan Activity Register (LAR)?

- A) A refinance secured by a first lien on a single-family dwelling
- B) A home equity loan secured by the borrower's primary residence
- C) A home purchase loan on a two-family property
- D) A construction-only loan with a 9-month term

[Federal Laws — HMDA]

22. HMDA data collection is primarily used to:

- A) Prevent mortgage fraud in high-risk markets by tracking loan patterns
- B) Identify potential discriminatory lending patterns and assess credit availability in communities
- C) Establish conforming loan limits for Fannie Mae and Freddie Mac annually
- D) Calculate lender Community Reinvestment Act (CRA) compliance ratings

[Federal Laws — HMDA]

23. Under HMDA, a covered loan's rate spread must be reported when the APR exceeds the Average Prime Offer Rate (APOR) by more than:

- A) 1.5 percentage points for first-lien loans; 3.5 percentage points for subordinate liens
- B) 2.0 percentage points for all covered loans regardless of lien position
- C) 6.5 percentage points for first liens; 8.5 percentage points for subordinate liens
- D) 1.0 percentage point for any covered mortgage loan

[Federal Laws — TILA]

24. Under TILA, which of the following triggers the requirement to provide the CHARM booklet (Consumer Handbook on Adjustable Rate Mortgages)?

- A) Any application for a fixed-rate conventional mortgage product
- B) Any mortgage application submitted through an online portal
- C) Any application for a variable-rate loan secured by the applicant's principal dwelling
- D) Only applications where the ARM initial rate exceeds the current prime rate

[Federal Laws — RESPA]

25. A title company pays an MLO \$200 for each loan referral, documented as a 'marketing services agreement' (MSA). Under RESPA Section 8, this arrangement is:

- A) Prohibited, because it is a fee paid in exchange for a referral regardless of how the agreement is labeled
- B) Permitted if the marketing services are documented and the payment is reasonable in the market
- C) Permitted as long as the borrower receives written disclosure of the arrangement
- D) Permitted because MSAs are specifically authorized as an exception under RESPA Section 8(c)

[Federal Laws — ECOA]

26. Under ECOA's self-testing provisions, the results of a voluntary fair lending self-test conducted by a lender are:

- A) Publicly available under Freedom of Information Act (FOIA) requests
- B) Required to be reported to the CFPB in the institution's annual HMDA submission
- C) Privileged and protected from government examination if the lender takes corrective action when problems are identified
- D) Admissible as evidence of prior discriminatory conduct in any subsequent lawsuit

[Federal Laws — Fair Housing]

27. A lender refuses to make mortgage loans in a specific zip code because the area has a high concentration of Latino residents, despite individual applicants being creditworthy. This practice is BEST described as:

- A) Steering
- B) Redlining
- C) Blockbusting
- D) Disparate impact discrimination

[Federal Laws — HOEPA]

28. Which of the following is NOT a required HOEPA pre-closing disclosure for a high-cost mortgage?

- A) The annual percentage rate of the loan
- B) A statement that the consumer could lose the home if payments are not made
- C) The regular payment amount and any balloon payment amount
- D) A complete amortization schedule showing every scheduled payment over the full loan term

■ ■ General Mortgage ■ ■

[General Mortgage — Loan Types]

29. A borrower wants a conforming conventional loan on a single-family home in a standard-cost area. The maximum loan amount for 2024 is:

- A) \$647,200
- B) \$766,550
- C) \$850,000
- D) \$1,149,825

[General Mortgage — Loan Types]

30. Which of the following BEST describes a non-conforming jumbo loan?

- A) An FHA-insured loan that exceeds the standard FHA loan limit
- B) Any conventional loan with an LTV ratio above 80%
- C) A fixed-rate mortgage that converts to an adjustable rate after 10 years
- D) A conventional loan exceeding the FHFA conforming loan limit that cannot be purchased by Fannie Mae or Freddie Mac

[General Mortgage — FHA/VA/USDA]

31. A borrower has a FICO score of 510 and is applying for an FHA loan. Under FHA guidelines, which statement is MOST accurate?

- A) The borrower qualifies for FHA with the standard 3.5% minimum down payment
- B) The borrower does not meet FHA's minimum FICO score and is ineligible for FHA financing
- C) The borrower qualifies for FHA financing but must provide a minimum 10% down payment
- D) FHA requires a minimum 20% down payment for all borrowers with FICO below 580

[General Mortgage — FHA/VA/USDA]

32. For an FHA loan with a 92% original LTV on a 30-year term, the annual mortgage insurance premium (MIP) requirement is:

- A) For the life of the loan
- B) Until the LTV reaches 80% based on current value
- C) For 11 years from origination
- D) For 5 years or until the LTV reaches 78%, whichever is later

[General Mortgage — FHA/VA/USDA]

33. A veteran purchases a home for \$350,000 with no down payment on their first use of the VA benefit. They have no service-connected disability. The VA funding fee is approximately:

- A) 1.25% (\$4,375)
- B) 1.75% (\$6,125)
- C) 2.15% (\$7,525)
- D) 3.30% (\$11,550)

[General Mortgage — FHA/VA/USDA]

34. Which underwriting analysis is UNIQUELY required for VA loans and not required for FHA or conventional loans?

- A) Residual income analysis
- B) Debt-to-income ratio calculation
- C) Appraisal of the subject property
- D) Verification of 2-year employment history

[General Mortgage — Underwriting/QM]

35. Under the Ability-to-Repay (ATR) rule, a creditor must verify all of the following EXCEPT:

- A) Current income or assets sufficient to cover the loan payment
- B) Current employment status
- C) Monthly debt obligations and housing expenses
- D) The borrower's projected future income from a planned career change

[General Mortgage — Underwriting/QM]

36. A Qualified Mortgage (QM) Safe Harbor loan provides what protection to the lender?

- A) Complete immunity from all CFPB regulatory examinations
- B) A conclusive presumption of compliance with the Ability-to-Repay rule
- C) Automatic protection from all borrower prepayment claims
- D) Guaranteed eligibility for sale to Fannie Mae or Freddie Mac

[General Mortgage — ARM Products]

37. A 5/1 ARM has an initial rate of 4.00% with 2/2/5 caps. The initial cap is 2%. After the fixed period, the index has risen by 3%. What is the MAXIMUM rate at the first adjustment?

- A) 7.00% (initial rate + index rise)
- B) 6.50% (initial rate + periodic cap + index)
- C) 5.50% (initial rate + 1.5%)
- D) 6.00% (initial rate + initial cap of 2%)

[General Mortgage — ARM Products]

38. For a Qualified Mortgage ARM, the lender must qualify the borrower at which rate?

- A) The initial teaser rate offered to the borrower
- B) The maximum interest rate that could apply during the first 5 years of the loan
- C) The fully indexed rate as of the date of origination
- D) The maximum lifetime cap rate of the loan

[General Mortgage — Mortgage Math]

39. A borrower's gross monthly income is \$8,000. Their proposed PITI is \$1,920, monthly car payment is \$400, credit card minimum is \$200, and student loan payment is \$150. What is their back-end DTI ratio?

- A) 33.38%
- B) 24.00%
- C) 29.63%

D) 28.50%

[General Mortgage — Mortgage Math]

40. A property is under contract for \$320,000 and appraised at \$310,000. The borrower requests an 80% LTV conventional loan. What is the maximum loan amount the lender will approve?

- A) \$256,000
- B) \$264,000
- C) \$248,000
- D) \$280,000

[General Mortgage — Property/Appraisal]

41. A residential appraisal primarily estimates which type of value?

- A) Market value — the most probable price in a competitive open market under fair sale conditions
- B) Assessed value as determined by the local taxing authority
- C) Replacement cost for homeowner's insurance purposes
- D) Investment value specific to a particular buyer's return requirements

[General Mortgage — Property/Appraisal]

42. Under the Homeowners Protection Act (HPA), at what LTV must a lender AUTOMATICALLY cancel PMI on a conventional loan?

- A) 80% LTV based on current market value
- B) 80% LTV based on original purchase price
- C) 78% LTV based on the original amortization schedule
- D) 75% LTV based on original purchase price

[General Mortgage — Loan Types]

43. A subordination agreement is MOST commonly executed when:

- A) A borrower wants to cancel their PMI obligation
- B) A junior lienholder agrees to maintain their subordinate position when the senior mortgage is refinanced
- C) A mortgage servicer transfers servicing rights to a new servicer
- D) A co-borrower is released from liability on the mortgage note

[General Mortgage — Loan Types]

44. Which type of title insurance policy protects the LENDER against title defects and is typically required at closing?

- A) Owner's title insurance policy
- B) Standard ALTA homeowner's policy
- C) Leasehold title insurance policy
- D) Lender's title insurance policy (loan policy)

[General Mortgage — FHAVA/USDA]

45. A veteran with full VA entitlement is purchasing a home for \$400,000. The county conforming loan limit is \$766,550. No down payment has been made on a prior VA loan. What down payment is required?

- A) 5% (\$20,000)
- B) No down payment required
- C) 25% of the loan amount
- D) 10% (\$40,000)

[General Mortgage — Underwriting/QM]

46. Under QM rules, the maximum allowable points and fees for a loan amount of \$120,000 is:

- A) 2% (\$2,400)
- B) 5% (\$6,000)
- C) 4% (\$4,800)
- D) 3% (\$3,600)

[General Mortgage — Mortgage Math]

47. A borrower is purchasing a \$400,000 home that appraised at \$415,000. Their loan amount is \$320,000. The LTV ratio used for underwriting purposes is:

- A) 77.1% based on the appraised value
- B) 76.9% based on the average of purchase price and appraised value
- C) 80.0% based on the lesser of purchase price or appraised value
- D) 81.3% based on appraised value only

[General Mortgage — ARM Products]

48. The 'fully indexed rate' on an ARM is correctly calculated as:

- A) Current index value plus the margin
- B) Initial note rate plus the first adjustment cap
- C) The margin minus the current index value
- D) The initial note rate plus the margin

[General Mortgage — Property/Appraisal]

49. When a comparable sale has FEWER amenities than the subject property, an appraiser will make which type of adjustment to the comparable's sale price?

- A) A downward adjustment to account for the comparable's lower quality
- B) No adjustment is needed since all comparables are standardized
- C) An upward adjustment because the inferior comparable would have sold for more if it equaled the subject
- D) Adjustments are made to the subject property, not the comparable sales

[General Mortgage — Loan Types]

50. A borrower uses a piggyback loan structure of 80/10/10. This means:

- A) 80% first mortgage, 10% second mortgage, 10% cash down — eliminating PMI on the first lien
- B) 80% LTV with 10% PMI coverage and 10% lender risk retention
- C) A first mortgage with 80% amortization, balloon at year 10, and 10% rate ceiling
- D) 80% fixed rate portion, 10% adjustable portion, and 10% interest-only period

[General Mortgage — FHA/VA/USDA]

51. The FHA Upfront Mortgage Insurance Premium (UFMIP) for a standard purchase loan is:

- A) 0.55% of the loan amount, billed monthly
- B) 2.15% of the loan amount, added to closing costs
- C) 1.25% of the loan amount at closing
- D) 1.75% of the base loan amount, which may be financed into the loan balance

[General Mortgage — FHA/VA/USDA]

52. Which statement about USDA Guaranteed Rural Housing loans is MOST accurate?

- A) USDA loans require a minimum 3.5% down payment like FHA
- B) USDA loans provide 100% financing with no down payment for eligible borrowers in eligible rural areas
- C) USDA loans are restricted exclusively to farmers and agricultural workers
- D) USDA loans require a minimum statutory credit score of 640

[General Mortgage — Mortgage Math]

53. A borrower earns \$6,500/month gross. Conventional guidelines are 28% front-end and 36% back-end DTI. The borrower has \$600/month in existing monthly debts. What is the maximum allowable PITI?

- A) \$1,820 (front-end limit only)
- B) \$2,340 (back-end limit only)
- C) \$1,964 (average of the two limits)
- D) \$1,740 (back-end constraint is more restrictive)

[General Mortgage — Property/Appraisal]

54. In a declining market, which document requires the appraiser to analyze local market conditions and justify the use of older comparable sales?

- A) USPAP Standards Rule 1-1(a) condition certification
- B) Fannie Mae Form 1004MC (Market Conditions Addendum)
- C) HUD Handbook 4000.1 Section II appraisal requirements
- D) FIRREA Title XI appraisal standards documentation

[General Mortgage — Underwriting/QM]

55. For a self-employed borrower, lenders typically use which income figure for mortgage qualifying purposes?

- A) The 2-year average of net taxable income from Schedule C or K-1, with allowable add-backs
- B) The current year's gross business revenues as reported on business bank statements
- C) The W-2 salary the borrower pays themselves, regardless of business performance
- D) Three years of tax returns to establish a reliable income trend

[General Mortgage — ARM Products]

56. A 7/1 ARM has an initial note rate of 5.50% and a lifetime cap of 5%. What is the MAXIMUM rate this loan could ever reach over its life?

- A) 9.50%
- B) 7.50%
- C) 10.50%
- D) 12.50%

■■ Loan Origination ■■

[Loan Origination — Application/1003]

57. On the Uniform Residential Loan Application (URLA/Form 1003), which section requires the borrower to disclose the intended property occupancy type?

- A) Section I — Property Information and Purpose of Loan
- B) Section IV — Employment Information
- C) Section VI — Assets and Liabilities
- D) Section VIII — Declarations

[Loan Origination — Application/1003]

58. Federal regulation requires lenders to collect government monitoring information (race, ethnicity, sex) for which applications?

- A) Only applications where the applicant volunteers the information
- B) Only for loans subject to HMDA reporting requirements
- C) All applications for closed-end first-lien home purchase or refinance loans on one-to-four family properties
- D) Only for FHA, VA, and USDA government-backed loans

[Loan Origination — Credit Analysis]

59. For Fannie Mae conventional conforming guidelines, what is the standard waiting period after a Chapter 7 bankruptcy discharge before a borrower may obtain a new mortgage?

- A) 2 years with documented extenuating circumstances
- B) 4 years from the discharge date
- C) 7 years from the discharge date
- D) 5 years from the discharge date

[Loan Origination — Credit Analysis]

60. A borrower's credit report shows an unpaid collection account for \$800. For FHA underwriting, the standard guidance is:

- A) The collection must be paid in full before the loan can close
- B) The lender must include 5% of the collection balance as a monthly obligation in DTI
- C) Collections under \$1,000 are automatically excluded from FHA underwriting review
- D) The lender may allow the collection to remain unpaid but must document that it will not impact the borrower's ability to repay

[Loan Origination — Income/DTI]

61. A borrower receives \$2,000 per month in court-ordered child support. The divorce decree shows 4 years remaining on the support obligation. Can this income be used for qualifying?

- A) No; child support is not considered stable income for mortgage qualifying
- B) Yes; documented child support with at least 3 years remaining may be used for qualifying
- C) Yes, but only 75% of the child support amount may be counted
- D) Only if the borrower has received it for 2 years AND it will continue indefinitely

[Loan Origination — Income/DTI]

62. When incorporating overtime income into a borrower's qualifying income, lenders typically require:

- A) The full overtime amount regardless of how long it has been received
- B) No overtime income may be used; only base salary is acceptable
- C) 50% of overtime if received for at least 1 year
- D) 2-year average of overtime income if it is likely to continue

[Loan Origination — Disclosures]

63. Under TRID's three-tier tolerance structure, which category of fees is subject to ZERO tolerance — meaning any increase at closing requires a cure payment to the borrower?

- A) Services chosen by the borrower from the lender's written list of providers
- B) Recording fees and transfer taxes
- C) Lender origination charges and fees for required services where the borrower cannot shop
- D) Prepaid interest, homeowner's insurance, and initial escrow payments

[Loan Origination — Disclosures]

64. A borrower asks to lock their interest rate on an application that had a floating rate LE. A revised LE is issued reflecting the locked rate. Under TRID, this revised LE:

- A) Does not trigger a new 3-business-day waiting period before consummation
- B) Triggers a new 3-business-day waiting period before consummation
- C) Requires the lender to issue a new Closing Disclosure
- D) Eliminates the 7-business-day LE-to-consummation waiting period

[Loan Origination — Products/Programs]

65. A lender originates a 'stated income, stated asset' (SISA) loan where income and assets are not verified. Under current regulations, this loan is BEST characterized as:

- A) A QM with rebuttable presumption protection
- B) Permissible if the borrower has a FICO score above 720
- C) A non-QM loan that fails to satisfy ATR verification requirements
- D) An acceptable bank statement loan qualifying under QM Safe Harbor

[Loan Origination — Products/Programs]

66. A loan with a 10-year interest-only period followed by a 20-year amortizing period is presented for QM consideration. This loan:

- A) Cannot be a QM under any circumstances — interest-only features are prohibited from QM status
- B) May qualify as a QM if the borrower's DTI is below 43%
- C) May qualify as a QM under the GSE patch for Fannie Mae or Freddie Mac eligible loans
- D) May qualify as a QM Safe Harbor if originated after January 2021

[Loan Origination — Processing/Closing]

67. At closing, the document that transfers legal title to the property from seller to buyer is the:

- A) Deed of trust
- B) Promissory note
- C) Mortgage or deed of trust (security instrument)
- D) Warranty deed or grant deed

[Loan Origination — Processing/Closing]

68. Under the Bank Secrecy Act (BSA), a Currency Transaction Report (CTR) must be filed when a transaction involves how much in cash?

- A) \$5,000 or more
- B) \$10,000 or more
- C) \$25,000 or more
- D) \$50,000 or more

[Loan Origination — Credit Analysis]

69. A 'rapid rescore' service in mortgage lending allows a lender to:

- A) Dispute inaccurate items on a credit report and wait the standard 30-day correction cycle
- B) Immediately increase the borrower's credit limits to improve their credit utilization
- C) Remove accurate negative information from the credit report before closing
- D) Quickly update verified changes to credit report information, resulting in an improved score within days

[Loan Origination — Income/DTI]

70. A borrower owns a rental property generating \$2,000/month in gross rent per lease. The lender uses 75% of gross rents to account for vacancy. The property PITI is \$1,400/month. What amount of net rental income is added to the borrower's qualifying income?

- A) \$600/month (gross rent minus PITI)
- B) \$100/month (75% of gross rent minus PITI)
- C) \$0; the rental PITI fully offsets any rental income contribution
- D) The full \$2,000/month gross rent

[Loan Origination — Application/1003]

71. Which of the following HMDA data points must be collected and reported for covered loans?

- A) Loan purpose, property type, census tract, applicant race/ethnicity, loan amount, and action taken
- B) FICO score, employment type, years at current address, and rental history
- C) Monthly gross income, total monthly debts, and debt-to-income ratio
- D) Flood zone designation, property condition, and appraisal methodology used

[Loan Origination — Disclosures]

72. The MLO's NMLS unique identifier must appear on which of the following?

- A) Only on the federal 1003 loan application
- B) On the Loan Estimate and Closing Disclosure only
- C) On all loan application documents and in all advertising
- D) Only when the borrower specifically requests the identifier

[Loan Origination — Products/Programs]

73. Under the old HUD rules, a 'yield spread premium' (YSP) was a payment made by:

- A) The wholesale lender to the mortgage broker when the broker placed the borrower in a rate above the par rate
- B) The borrower to the lender in exchange for a reduced interest rate (paying points)
- C) The seller to the buyer's lender as a seller concession for closing costs
- D) The title company to the mortgage broker for referral of title business

[Loan Origination — Credit Analysis]

74. Which of the following is a recognized RED FLAG for mortgage application fraud?

- A) A borrower who has lived at their current address for less than 12 months
- B) A property that appraised within 2% above the contract price
- C) An employment verification form showing a start date different from what appears on the application
- D) A borrower maintaining two open credit card accounts with revolving balances

[Loan Origination — Processing/Closing]

75. A 'rate-and-term refinance' (no cash-out) is defined as a transaction in which:

- A) The borrower receives no cash whatsoever at closing under any circumstances
- B) Loan proceeds pay off the existing first mortgage and allowable closing costs, with minimal or no cash to the borrower
- C) The new interest rate must be lower than the existing loan's rate
- D) The new loan amount is identical to the existing loan payoff balance

[Loan Origination — Income/DTI]

76. When a borrower receives non-taxable Social Security income, lenders may 'gross up' this income for qualifying by what standard percentage?

- A) 10%
- B) 15%
- C) 20%
- D) 25%

[Loan Origination — Products/Programs]

77. Which feature would DISQUALIFY a loan from QM Safe Harbor status under the General QM definition?

- A) A 30-year fixed rate at 3.5% APR with fully documented income
- B) Negative amortization during the first 3 years of the loan
- C) A loan amount of \$500,000 with total origination fees of \$14,999
- D) A fully documented borrower with a 38% back-end DTI

[Loan Origination — Processing/Closing]

78. When a lender 'table funds' a mortgage loan, it means:

- A) The lender retains the loan in its own portfolio after origination
- B) The closing attorney acts as an agent for the lender at closing
- C) The lender pre-funds the loan into an escrow account before the closing date
- D) The lender provides funds to the settlement agent at or before closing for same-day disbursement

[Loan Origination — Application/1003]

79. During an in-person application interview, if a joint applicant declines to provide their demographic information (race, ethnicity, sex), the MLO must:

- A) Remove that applicant from the joint application
- B) Leave the demographic section blank with a note that the applicant declined
- C) Complete the demographic information based on visual observation or the applicant's surname
- D) Discontinue the application until the applicant provides the required information

[Loan Origination — Credit Analysis]

80. A borrower's credit report shows a single 30-day mortgage late payment from 18 months ago. For conventional conforming underwriting, this situation:

- A) May be acceptable depending on the overall credit profile and AUS findings
- B) Automatically disqualifies the borrower from any conventional loan program
- C) Requires a minimum 24-month clean payment history before reapplying
- D) Must be explained in writing but has no effect on loan eligibility

[Loan Origination — Processing/Closing]

81. An underwriter requires a 'letter of explanation' for a \$15,000 large deposit to the borrower's bank account that appeared two months before closing. This requirement relates to:

- A) Income documentation and verification of employment
- B) Employment history continuity requirements
- C) Source of funds verification and anti-money laundering compliance
- D) Credit history documentation requirements

[Loan Origination — Products/Programs]

82. A 'portfolio loan' is BEST described as:

- A) A loan originated by a lender who retains it in-house rather than selling it on the secondary market
- B) A loan involving a borrower with multiple investment properties
- C) A mortgage-backed security comprised of a pool of similar loans
- D) A government-guaranteed loan held by an approved lender

[Loan Origination — Income/DTI]

83. A borrower has a base salary of \$60,000/year. Their bonus was \$8,000 in year 1 and \$12,000 in year 2. The bonus income is expected to continue. How much bonus income may be used for qualifying?

- A) \$12,000/year (most recent year only)
- B) \$8,000/year (lower year for conservative qualifying)
- C) \$0; bonus income cannot be used in mortgage qualifying
- D) \$10,000/year (2-year average)

[Loan Origination — Disclosures]

84. Which of the following is considered a 'finance charge' under Regulation Z (TILA)?

- A) Appraisal fee paid directly to an independent licensed appraiser
- B) Mortgage insurance premium (PMI/MIP) required by the lender as a condition of the loan
- C) Homeowner's insurance premium selected and paid by the borrower

- D) Title search fee paid to the lender's required title company

[Loan Origination — Processing/Closing]

85. The primary purpose of a title search in the mortgage process is to:

- A) Determine the current market value of the subject property
- B) Verify that the property meets local zoning requirements for residential use
- C) Confirm that the seller has adequate hazard insurance coverage
- D) Review public records to identify outstanding liens, encumbrances, and ownership defects affecting the property

[Loan Origination — Processing/Closing]

86. A financial institution must file a Suspicious Activity Report (SAR) for transactions suspected of involving money laundering when the amount is at least:

- A) \$5,000 with a known suspect; \$10,000 without an identified suspect
- B) \$5,000 with a known suspect; \$25,000 without an identified suspect
- C) \$10,000 regardless of whether a suspect is identified
- D) \$25,000 for any transaction regardless of circumstances

■ ■ Ethics ■ ■

[Ethics — UDAAP]

87. Under UDAAP, which element is required to establish that a practice is 'UNFAIR'?

- A) Substantial injury to consumers that is not reasonably avoidable and not outweighed by benefits
- B) A false or misleading statement that a reasonable consumer would rely upon
- C) Taking unreasonable advantage of a consumer's inability to protect their own interests
- D) A deliberate intent to harm the consumer on the part of the lender

[Ethics — UDAAP]

88. A mortgage advertisement states: 'GUARANTEED lowest rate! Everyone qualifies regardless of credit!' This MOST directly violates which UDAAP standard?

- A) Unfair — causes substantial injury to consumers who rely on the ad
- B) Abusive — takes unreasonable advantage of consumer reliance
- C) Deceptive — misleads reasonable consumers about material loan terms and eligibility
- D) None; advertising claims are protected as puffery under UDAAP

[Ethics — Fraud]

89. Which of the following BEST exemplifies 'fraud for profit' rather than 'fraud for housing'?

- A) An appraiser and MLO conspire to inflate an appraisal to generate a larger loan and collect larger commissions
- B) A borrower misrepresents their income on the 1003 application to qualify for a larger loan
- C) A first-time buyer falsely claims to have no other real estate holdings
- D) A borrower overstates rental income to qualify for a vacation home purchase

[Ethics — Fraud]

90. An MLO discovers after closing that the borrower slightly inflated their income on the loan application. The MLO's ethical and regulatory obligation is to:

- A) Do nothing; the loan has closed and the issue is moot
- B) Quietly correct their own records without escalating the matter
- C) Report the suspected fraud to their supervisor or compliance department to trigger appropriate review
- D) Contact the borrower and demand they refinance the loan immediately

[Ethics — Professional Conduct]

91. An MLO receives \$100 per referral from a title company for every borrower they send to that company. Under RESPA and professional ethics standards, this arrangement:

- A) Is acceptable if the amount is under \$200 per referral
- B) Violates RESPA Section 8 and creates an impermissible conflict of interest
- C) Is acceptable as long as the borrower receives written notice of the arrangement
- D) Is permissible as a bona fide marketing services compensation arrangement

[Ethics — Predatory Lending]

92. Which practice is MOST commonly associated with predatory mortgage lending?

- A) Providing a Loan Estimate within the required 3-business-day window
- B) Explaining the differences between fixed-rate and adjustable-rate mortgages to a borrower
- C) Recommending the borrower obtain independent legal advice before signing
- D) Repeatedly refinancing a borrower's mortgage to generate origination fees without providing a net benefit

[Ethics — UDAAP]

93. Under UDAAP, an 'abusive' act or practice is MOST directly one that:

- A) Causes injury through a false or misleading factual representation
- B) Takes unreasonable advantage of a consumer's reasonable reliance on the covered person to act in the consumer's interest
- C) Results in financial harm regardless of disclosure or consent
- D) Involves deceptive marketing targeted specifically at vulnerable or elderly consumers

[Ethics — Fraud]

94. In a mortgage fraud scheme, a 'straw buyer' is BEST described as:

- A) A buyer who purchases as a primary residence but immediately converts the property to a rental
- B) A licensed appraiser who provides inflated valuations in exchange for compensation
- C) A seller who conceals material property defects at closing
- D) A person who allows their name and credit profile to be used on a mortgage application for property they will not occupy or own

[Ethics — Professional Conduct]

95. An MLO whose license is under investigation for a consumer complaint should BEST respond by:

- A) Immediately retaining legal counsel and refusing all contact with the investigating regulator
- B) Continuing normal business operations and assuming the complaint will be dismissed
- C) Cooperating fully with the investigation by providing accurate information and following legal counsel's advice
- D) Deleting or removing records that might be related to the alleged complaint

[Ethics — Predatory Lending]

96. Which loan product, when marketed without adequate disclosure and counseling, is MOST commonly associated with predatory lending targeting elderly homeowners?

- A) Reverse mortgage with high upfront fees, insufficient disclosure, and pressure sales tactics
- B) 30-year fixed-rate mortgage with standard amortization
- C) FHA purchase loan with 3.5% down payment and verified income documentation
- D) Conventional 15-year mortgage with 20% down payment

[Ethics — UDAAP]

97. An MLO advertises '1% Fixed Rate for Life!' when the actual product is a 1% one-year teaser rate that adjusts to market rates annually thereafter. This advertisement MOST directly violates:

- A) TILA disclosure requirements for ARM advertising only
- B) RESPA Section 8 kickback prohibitions
- C) UDAAP deceptive practices standards and Reg Z ARM advertising requirements

D) HMDA data collection and reporting requirements

[Ethics — Fraud]

98. Which of the following BEST describes 'occupancy fraud' in mortgage lending?

- A) A borrower misrepresents the property's intended use as a primary residence to obtain lower rates, when they actually plan to use it as a rental investment property
- B) A lender charges closing fees that were not disclosed on the Loan Estimate or Closing Disclosure
- C) An appraiser provides a below-market value to benefit a buyer negotiating a lower purchase price
- D) A borrower omits one credit card account from their liabilities on the 1003 application

[Ethics — Professional Conduct]

99. A real estate agent gives an MLO a \$100 gift card as a 'thank you' after a loan closes on a mutual client. Under RESPA and professional ethics guidelines:

- A) This is acceptable; gifts under \$500 are a standard business courtesy
- B) This is acceptable if the MLO declares it on their annual tax return
- C) This is acceptable as long as it does not influence future referral decisions
- D) This may constitute an illegal kickback under RESPA Section 8 if it was given in exchange for the referral of settlement services

[Ethics — Predatory Lending]

100. Under HOEPA, before a high-cost mortgage is consummated, the lender is required to ensure the borrower has received:

- A) A written consent form signed by the borrower's real estate agent
- B) Homeownership counseling from a HUD-approved housing counseling agency
- C) A 10-hour consumer financial literacy training course
- D) A lender-provided explanation of all loan terms reviewed with an attorney

[Ethics — UDAAP]

101. An MLO adds undisclosed fees to a borrower's loan at closing that were not on either the Loan Estimate or the Closing Disclosure. In addition to TRID violations, this practice constitutes:

- A) A permissible adjustment if it falls within TRID cure tolerance limits
- B) A disclosure-only violation with no separate UDAAP exposure
- C) An ECOA violation based on disparate impact analysis
- D) An unfair and deceptive act or practice under UDAAP

[Ethics — Fraud]

102. What is an 'air loan' in the context of mortgage fraud?

- A) A loan for a property that lacks adequate flood or hazard insurance
- B) A loan originated for a non-existent property using a fictitious borrower and fabricated documents
- C) A loan on a property located in an airline flight path noise zone
- D) A loan originated without a physical property inspection or drive-by appraisal

[Ethics — Professional Conduct]

103. An MLO is required by their state to maintain errors and omissions (E&O;) insurance. The PRIMARY purpose of this requirement is to:

- A) Protect consumers and the MLO from financial losses caused by the MLO's professional mistakes or negligence
- B) Replace the MLO's requirement to maintain a surety bond with the state
- C) Fund the MLO's NMLS annual licensing and renewal fees
- D) Cover lender losses resulting from borrower default on originated loans

[Ethics — Predatory Lending]

104. An MLO recommends a higher-rate subprime loan to a minority borrower who clearly qualifies for a lower-rate conventional loan. This practice is BEST characterized as:

- A) Acceptable if the borrower signs an acknowledgment of the rate difference
- B) A RESPA Section 8 settlement services kickback violation
- C) Reverse redlining — a Fair Housing Act and potential UDAAP violation
- D) Permissible as long as the loan meets QM Safe Harbor standards

[Ethics — UDAAP]

105. Which federal agency has primary UDAAP examination and enforcement authority over non-depository mortgage companies?

- A) Consumer Financial Protection Bureau (CFPB)
- B) Office of the Comptroller of the Currency (OCC)
- C) Federal Deposit Insurance Corporation (FDIC)
- D) Federal Reserve Board (FRB)

■ ■ SAFE Act ■ ■

[SAFE Act — CE/Pre-License]

106. The SAFE Act requires state-licensed MLOs to complete how many hours of pre-licensing education?

- A) 8 hours total
- B) 12 hours total
- C) 20 hours total
- D) 40 hours total

[SAFE Act — CE/Pre-License]

107. How many hours of continuing education must a state-licensed MLO complete annually to maintain their license?

- A) 4 hours
- B) 8 hours
- C) 12 hours
- D) 20 hours

[SAFE Act — CE/Pre-License]

108. Under SAFE Act CE rules, an MLO who completes the exact same NMLS-approved CE course they took last year will:

- A) Receive full CE credit since the course is NMLS-approved
- B) Receive half CE credit for repeating an approved course
- C) Receive full credit only if the course provider certifies updated content
- D) Receive no CE credit for taking the same course in the same or subsequent licensing year

[SAFE Act — NMLS/Registration]

109. A 'registered MLO' under the SAFE Act is an employee of which type of institution?

- A) A state-licensed independent mortgage company
- B) A federally chartered or insured depository institution such as a bank, thrift, or credit union
- C) An independent mortgage broker operating under a state license
- D) A Fannie Mae or Freddie Mac approved seller/servicer

[SAFE Act — NMLS/Registration]

110. A registered MLO at a federal savings bank moves to a state-licensed mortgage company. Under transitional licensing provisions, the MLO may continue originating loans for how long while their state license application is pending?

- A) 30 days
- B) 60 days
- C) 90 days
- D) 120 days

[SAFE Act — Licensing]

111. Under the SAFE Act, which criminal conviction results in a PERMANENT bar from obtaining a state MLO license?

- A) Any misdemeanor conviction within the preceding 7 years
- B) Any felony conviction regardless of how long ago it occurred
- C) Any felony involving fraud, dishonesty, breach of trust, or money laundering at any point in time
- D) A DUI or reckless driving felony conviction within the past 5 years

[SAFE Act — Licensing]

112. The passing score for the NMLS SAFE Mortgage Loan Originator Test (National Component) is:

- A) 75%
- B) 70%
- C) 80%
- D) 65%

[SAFE Act — NMLS/Registration]

113. Which of the following is NOT a required disclosure on an NMLS MLO license application?

- A) Prior criminal history, including arrests that did not result in conviction
- B) Prior regulatory actions, license denials, and license revocations in any state
- C) The applicant's personal investment portfolio composition and total net worth
- D) Civil judgments related to financial services activities

[SAFE Act — Licensing]

114. Under NMLS rules, passing scores on the SAFE MLO National Test are valid for how long?

- A) 5 years
- B) 2 years
- C) 3 years
- D) Indefinitely once passed

[SAFE Act — CE/Pre-License]

115. The SAFE Act's annual ethics CE requirement specifically addresses which subjects?

- A) Federal income tax implications of mortgage origination for the MLO
- B) Investment property management principles and landlord-tenant laws
- C) Property valuation methods and appraisal fundamentals
- D) Fraud prevention, consumer protection laws, and fair lending issues

[SAFE Act — NMLS/Registration]

116. An MLO must update their NMLS record to reflect a change in employer within how many days of the change?

- A) 7 calendar days
- B) 30 calendar days
- C) 60 calendar days
- D) 90 calendar days

[SAFE Act — Licensing]

117. Which organization created and is responsible for operating the NMLS (Nationwide Multistate Licensing System)?

- A) The Consumer Financial Protection Bureau (CFPB)
- B) The Federal Reserve Board (FRB)
- C) The U.S. Department of Housing and Urban Development (HUD)
- D) The Conference of State Bank Supervisors (CSBS) and the American Association of Residential Mortgage Regulators (AARMR)

[SAFE Act — NMLS/Registration]

118. A key distinction between a 'registered' MLO and a 'licensed' MLO under the SAFE Act is that registered MLOs:

- A) Must pass the NMLS SAFE national exam just like state-licensed MLOs
- B) Are NOT required to complete SAFE Act pre-licensing education or pass the national exam
- C) Are regulated exclusively by the CFPB instead of their federal banking regulator
- D) Must complete 20 hours of annual CE instead of the 8-hour requirement

[SAFE Act — Licensing]

119. Under the SAFE Act, the definition of 'mortgage loan originator' includes any individual who takes a residential mortgage loan application OR:

- A) Offers or negotiates terms of a residential mortgage loan for compensation or gain
- B) Works for a federally regulated depository institution in any capacity
- C) Has successfully completed 20 hours of NMLS-approved pre-licensing education
- D) Holds an active real estate salesperson or broker license

[SAFE Act — NMLS/Registration]

120. Under the SAFE Act, which of the following individuals qualifies for an exemption from MLO licensing requirements?

- A) An independent mortgage broker who takes applications for residential loans
- B) A real estate agent who regularly helps clients complete loan application forms
- C) An attorney who negotiates mortgage terms solely as an ancillary part of their legal representation of a client
- D) A HUD-approved housing counselor who explains loan options to borrowers

EXAM 2 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	C	2	A	3	D	4	B	5	D
6	B	7	A	8	C	9	A	10	C
11	B	12	D	13	B	14	D	15	C
16	A	17	C	18	A	19	D	20	B
21	D	22	B	23	A	24	C	25	A
26	C	27	B	28	D	29	B	30	D
31	C	32	A	33	C	34	A	35	D
36	B	37	D	38	B	39	A	40	C
41	A	42	C	43	B	44	D	45	B
46	D	47	C	48	A	49	C	50	A
51	D	52	B	53	D	54	B	55	A
56	C	57	A	58	C	59	B	60	D
61	B	62	D	63	C	64	A	65	C
66	A	67	D	68	B	69	D	70	B
71	A	72	C	73	A	74	C	75	B
76	D	77	B	78	D	79	C	80	A
81	C	82	A	83	D	84	B	85	D
86	B	87	A	88	C	89	A	90	C
91	B	92	D	93	B	94	D	95	C
96	A	97	C	98	A	99	D	100	B
101	D	102	B	103	A	104	C	105	A
106	C	107	B	108	D	109	B	110	D
111	C	112	A	113	C	114	A	115	D
116	B	117	D	118	B	119	A	120	C

1. A borrower submits a complete mortgage application on Monday. Under TRID rules, by what day must the lender deliver the Loan Estimate?

✓ **C) Thursday of the same week**

TRID requires the Loan Estimate within 3 business days of receiving a complete application. For TRID, 'business day' includes Saturdays but excludes Sundays and federal holidays. Monday + 3 business days (Tue, Wed, Thu, Sat counts but not Sun) = Thursday is the third business day. Wednesday (B) would be only 2 business days and is too early.

2. A Closing Disclosure must be provided to the borrower at least how many business days before consummation of a loan?

✓ **A) 3 business days**

TRID mandates a minimum 3-business-day waiting period between CD delivery and consummation. The 7-day rule (D) applies to the LE-to-consummation waiting period, not the CD. Confusing these two timing rules is a common exam error. The CD waiting period uses the 'general definition' of business day (all days except Sundays and federal holidays).

3. Under TRID, which of the following is a valid 'changed circumstance' that permits a creditor to issue a revised Loan Estimate with increased fees?

✓ **D) The subject property is found to require a specialized appraisal due to a unique characteristic discovered after application**

Valid changed circumstances include extraordinary events beyond anyone's control, new information not known at the time of application, or borrower-requested changes. Discovering a property requires a specialized appraisal qualifies as new information. Lender errors (A) and internal fee increases (C) are NOT valid changed circumstances — the lender bears those risks.

4. The TRID '3-7-3 rule' refers to which set of timing requirements?

✓ **B) 3-day LE delivery, 7-day LE-to-consummation minimum, 3-day CD-to-consummation minimum**

The TRID 3-7-3 rule means: LE within 3 business days of complete application; minimum 7 business days between LE delivery and consummation; CD at least 3 business days before consummation. The rescission period (A) is a TILA concept, not part of the TRID 3-7-3 rule. Answer B correctly identifies all three timing requirements.

5. Under RESPA Section 8, which arrangement involving an affiliated title company is permissible?

✓ **D) The lender discloses the affiliation in writing, does not require use, and any return reflects bona fide ownership**

Affiliated Business Arrangements (AfBA) under RESPA are permitted only if: written disclosure is made to the consumer, the consumer is not required to use the affiliate, and the only thing of value received is a return on an ownership interest. Requiring use of an affiliate (C) directly violates RESPA Section 8 regardless of disclosure.

6. A borrower submits a Qualified Written Request (QWR) to their loan servicer on March 1. By what date must the servicer send written acknowledgment?

✓ **B) March 6 (5 business days)**

RESPA requires servicers to acknowledge a QWR within 5 business days of receipt. The servicer then has 30 business days to resolve the request (extendable by 15 more days with notice to the borrower). Using calendar days (A) is incorrect — RESPA specifies business days for acknowledgment. Confusing acknowledgment with full response timelines is a common error.

7. At the annual escrow analysis, the servicer discovers a projected shortage of \$240. The maximum repayment period the servicer may spread this shortage over is:

✓ **A) 12 months**

RESPA allows servicers to spread repayment of an escrow shortage over a maximum of 12 months. If the shortage is less than 1 month's escrow payment, the servicer may require immediate repayment, but the maximum spread for any shortage is 12 months. Offering 24 months (D) would exceed the RESPA statutory limit and is not permitted.

8. RESPA's escrow cushion rule allows servicers to hold a maximum cushion of how many months of projected escrow payments?

✓ **C) 2 months**

RESPA Section 10 limits escrow account cushions to a maximum of 2 months of estimated disbursements. If the escrow account has a surplus exceeding \$50 above the permitted cushion, the servicer must return it to the borrower within 30 days of the annual analysis. A 3-month cushion (D) exceeds the statutory maximum and would require a refund.

9. Under TILA, the right of rescission applies to which of the following transactions?

✓ **A) A refinance on a borrower's primary residence that creates a new lien**

TILA's right of rescission applies to non-purchase credit transactions secured by the consumer's principal dwelling, including refinances and HELOCs on primary residences. Purchase money mortgages (B) are explicitly exempt. Investment properties (C) and second homes (D) are not the borrower's principal dwelling and therefore do not qualify for rescission rights.

10. A lender discloses an APR of 6.50% on a conventional fixed-rate mortgage. The actual APR is later calculated to be 6.65%. Under TILA, this disclosure is:

✓ **C) Inaccurate; it exceeds the 1/8% tolerance for regular transactions**

For regular (fixed-rate) transactions, TILA allows an APR tolerance of 1/8% (0.125%). The disclosed 6.50% vs. actual 6.65% is a 0.15% difference, which exceeds the 0.125% tolerance. Therefore the disclosure is inaccurate and subject to cure. The 1/4% tolerance (D) applies only to irregular transactions such as ARMs. The 1/8% tolerance is the correct standard for fixed-rate conventional loans.

11. If a creditor fails to properly disclose the right of rescission, the borrower's extended rescission period is:

✓ **B) 3 years from consummation**

Under TILA, if the right of rescission is not properly disclosed, the rescission period extends to 3 years from consummation (or transfer/sale of the property, whichever is earlier). The normal rescission window is 3 business days. The 3-year extended period is a significant statutory penalty that incentivizes accurate disclosure. The rescission right does not extend indefinitely (D).

12. When must ARM disclosures (including the CHARM booklet) be provided to a borrower under TILA?

- ✓ **D) At the time the application form is provided or before the consumer pays any non-refundable fee, whichever is earlier**

TILA requires ARM disclosures and the CHARM booklet to be delivered at the time the application is provided, or before any non-refundable fee is collected, whichever comes first. Waiting until consummation (A) or providing them only on request (C) violates Regulation Z. The timing ensures borrowers have complete information before committing to an ARM product.

13. Under ECOA, a lender must notify an applicant of action taken on their credit application within how many days of receiving a completed application?

- ✓ **B) 30 days**

ECOA requires creditors to notify applicants of action taken — approval, denial, or counteroffer — within 30 days of receiving a completed application. For incomplete applications, the lender must also act within 30 days of receipt. Missing this timeline can constitute an ECOA violation even if no discriminatory intent exists.

14. ECOA protects applicants on the basis of all of the following EXCEPT:

- ✓ **D) Sexual orientation**

ECOA's protected classes are: race, color, religion, national origin, sex, marital status, age (provided ability to contract), and receipt of public assistance income. Sexual orientation (D) is NOT currently a federal ECOA protected class, though some states provide this protection. Note that familial status IS a Fair Housing Act class but NOT an ECOA class.

15. Under ECOA's appraisal copy requirements, when must a copy of an appraisal or written valuation be provided to a loan applicant?

- ✓ **C) Promptly upon completion, or 3 business days before consummation, whichever is earlier**

Regulation B (ECOA) requires creditors to provide appraisal copies promptly upon completion OR 3 business days before consummation, whichever is earlier. This applies even if the loan is denied. Waiting until closing (A) violates the rule. Requiring a written request (D) also violates the automatic delivery requirement enacted under the Dodd-Frank amendments to ECOA.

16. A lender's policy requires a minimum loan amount of \$75,000. Data shows this policy disproportionately denies applications from minority applicants in lower-income census tracts. This is an example of:

- ✓ **A) Disparate impact discrimination**

Disparate impact occurs when a facially neutral policy disproportionately and adversely affects a protected class without sufficient business justification. A minimum loan amount policy applied equally may still violate ECOA through disparate impact if it systematically excludes protected-class applicants. Disparate treatment (B) requires intentional unequal treatment based on protected class. Redlining (C) involves geographic denial.

17. The Fair Housing Act prohibits discrimination based on all of the following EXCEPT:

- ✓ **C) Marital status**

The Fair Housing Act's seven protected classes are: Race, Color, National Origin, Religion, Sex, Familial Status, and Handicap (disability). Marital status (C) is NOT a FHA protected class — it is protected under ECOA. This distinction between FHA and ECOA protected classes is one of the most frequently tested topics on the NMLS exam.

18. An MLO consistently recommends higher-rate loan products to African American applicants who qualify for lower-rate products, while offering the lower rates to similarly qualified White applicants. This practice is BEST described as:

- ✓ **A) Steering**

Steering involves directing consumers toward particular loan products or neighborhoods based on protected class characteristics. Here, minority borrowers are steered to unfavorable loan terms despite qualifying for better options — a Fair Housing Act and ECOA violation. Redlining (B) refers to geographic denial of services by neighborhood composition. Blockbusting (C) involves inducing panic selling by changing neighborhood demographics.

19. Under HOEPA, a first-lien mortgage is classified as a high-cost mortgage when its APR exceeds the Average Prime Offer Rate (APOR) by more than:

- ✓ **D) 6.5 percentage points**

HOEPA thresholds for high-cost mortgages: first-lien APR must exceed APOR by more than 6.5 percentage points; subordinate liens must exceed APOR by more than 8.5 percentage points. The points-and-fees trigger is 5% of total loan amount. Confusing first-lien and subordinate-lien thresholds is a common exam error. The 5% threshold (C) is for the points-and-fees test, not the APR test.

20. Which of the following is PROHIBITED on a HOEPA high-cost mortgage?

- ✓ **B) Including a balloon payment due within 5 years of origination**

HOEPA prohibits balloon payments that become due within 5 years of origination on high-cost mortgages. HOEPA also prohibits negative amortization and most prepayment penalties. Requiring homeowner's insurance (C) is a standard lender requirement, not prohibited. Disclosed origination fees (A) are not prohibited by HOEPA as long as they don't trigger the points-and-fees threshold.

21. Under HMDA, which of the following loans is NOT reportable on the Loan Activity Register (LAR)?

✓ **D) A construction-only loan with a 9-month term**

HMDA exempts temporary financing including construction loans and bridge loans with terms of 12 months or less. A 9-month construction loan falls within this exemption. Permanent financing (refinances, home purchase, home improvement) secured by a dwelling is reportable. Home equity loans (B) secured by a dwelling are reportable under current HMDA rules regardless of loan purpose.

22. HMDA data collection is primarily used to:

✓ **B) Identify potential discriminatory lending patterns and assess credit availability in communities**

HMDA was enacted to provide public data identifying whether financial institutions are serving community housing credit needs and to identify discriminatory lending patterns. CRA ratings (D) are related but HMDA itself is not the mechanism for calculating them. FHFA (not HMDA) establishes conforming loan limits (C). Fraud prevention (A) is not HMDA's primary purpose.

23. Under HMDA, a covered loan's rate spread must be reported when the APR exceeds the Average Prime Offer Rate (APOR) by more than:

✓ **A) 1.5 percentage points for first-lien loans; 3.5 percentage points for subordinate liens**

HMDA requires rate spread reporting when APR exceeds APOR by more than 1.5 percentage points for first liens or 3.5 percentage points for subordinate liens. This is distinct from the HOEPA thresholds (C), which are 6.5% and 8.5% — those trigger high-cost mortgage status with additional protections. The HMDA rate spread threshold is lower than HOEPA to capture a broader range of higher-priced loans for reporting purposes.

24. Under TILA, which of the following triggers the requirement to provide the CHARM booklet (Consumer Handbook on Adjustable Rate Mortgages)?

✓ **C) Any application for a variable-rate loan secured by the applicant's principal dwelling**

Regulation Z requires lenders to provide the CHARM booklet for any consumer credit transaction secured by the principal dwelling where the interest rate may vary. This covers all ARM products on primary residences regardless of initial rate level. Fixed-rate loans (A) do not trigger this requirement. The requirement applies even if the borrower ultimately selects a fixed product.

25. A title company pays an MLO \$200 for each loan referral, documented as a 'marketing services agreement' (MSA). Under RESPA Section 8, this arrangement is:

✓ **A) Prohibited, because it is a fee paid in exchange for a referral regardless of how the agreement is labeled**

RESPA Section 8(a) prohibits giving or accepting any fee, kickback, or thing of value in exchange for referrals of settlement service business. MSAs that are effectively referral fee disguises violate RESPA regardless of labeling. The CFPB has consistently held that referral compensation cannot be legitimized by calling it a marketing fee. Documentation (B) and disclosure (C) do not cure an illegal referral arrangement.

26. Under ECOA's self-testing provisions, the results of a voluntary fair lending self-test conducted by a lender are:

✓ **C) Privileged and protected from government examination if the lender takes corrective action when problems are identified**

ECOA provides a legal privilege for lenders who voluntarily conduct self-tests of their fair lending compliance. The privilege protects self-test results from government examination IF the lender takes appropriate corrective action when the self-test identifies problems. This privilege encourages proactive compliance reviews. If the lender does not correct identified problems, the privilege is lost.

27. A lender refuses to make mortgage loans in a specific zip code because the area has a high concentration of Latino residents, despite individual applicants being creditworthy. This practice is BEST described as:

✓ **B) Redlining**

Redlining is the illegal practice of refusing to lend or provide services in geographic areas based on the racial or ethnic composition of those areas — a direct FHA and ECOA violation. The name comes from historical maps where lenders drew red lines around neighborhoods they would not serve. Steering (A) directs borrowers to specific products or areas. Blockbusting (C) induces homeowners to sell by exploiting fears about changing demographics.

28. Which of the following is NOT a required HOEPA pre-closing disclosure for a high-cost mortgage?

✓ **D) A complete amortization schedule showing every scheduled payment over the full loan term**

HOEPA requires specific pre-closing disclosures including the APR, a warning that the consumer could lose their home, regular payment amount, and balloon payment amount. A complete payment-by-payment amortization schedule for the full loan term (D) is not among the specifically required HOEPA disclosures, though the key payment terms must be disclosed. The disclosures must be provided at least 3 business days before consummation.

29. A borrower wants a conforming conventional loan on a single-family home in a standard-cost area. The maximum loan amount for 2024 is:

✓ **B) \$766,550**

The 2024 FHFA conforming loan limit for a single-family home in a standard-cost area is \$766,550. The \$647,200 figure (A) was the 2022 limit. High-balance loans in designated high-cost areas may reach \$1,149,825 (D), but that is not the standard national limit. Loans above the conforming limit are non-conforming/jumbo loans.

30. Which of the following BEST describes a non-conforming jumbo loan?

✓ **D) A conventional loan exceeding the FHFA conforming loan limit that cannot be purchased by Fannie Mae or Freddie Mac**

A jumbo (non-conforming) loan exceeds the FHFA conforming loan limit and therefore cannot be sold to Fannie Mae or Freddie Mac in the secondary market. Lenders retain jumbo loans in portfolio or use private securitization. FHA loans (A) have their own limits and are government-insured — they are not jumbo loans. LTV ratios (B) are unrelated to the conforming/non-conforming distinction.

31. A borrower has a FICO score of 510 and is applying for an FHA loan. Under FHA guidelines, which statement is MOST accurate?

✓ **C) The borrower qualifies for FHA financing but must provide a minimum 10% down payment**

FHA requires a minimum FICO score of 500. Borrowers with scores between 500 and 579 must put at least 10% down. A score of 510 is above the 500 minimum, so FHA financing is available — but the 10% down requirement applies, not 3.5% (A). The 3.5% minimum is only for FICO 580+. The borrower is NOT disqualified (B) since 510 exceeds the 500 floor.

32. For an FHA loan with a 92% original LTV on a 30-year term, the annual mortgage insurance premium (MIP) requirement is:

✓ **A) For the life of the loan**

For FHA loans with an original LTV above 90% on a term greater than 15 years, annual MIP is required for the life of the loan. The 11-year cancellation rule (C) applies only when the original LTV is 90% or less. The 78% automatic cancellation rule (D) applies to conventional PMI under the Homeowners Protection Act — NOT to FHA MIP.

33. A veteran purchases a home for \$350,000 with no down payment on their first use of the VA benefit. They have no service-connected disability. The VA funding fee is approximately:

✓ **C) 2.15% (\$7,525)**

For a first-time use VA purchase loan with 0% down payment, the VA funding fee is 2.15% of the loan amount. On \$350,000 this equals \$7,525. Veterans with service-connected disabilities rated 10% or higher are exempt from the funding fee entirely. The 3.30% rate (D) applies to subsequent uses with less than 5% down. The 1.75% figure (B) is the FHA UFMIP rate.

34. Which underwriting analysis is UNIQUELY required for VA loans and not required for FHA or conventional loans?

✓ **A) Residual income analysis**

VA loans uniquely require a residual income analysis — a calculation of net income remaining after all major monthly expenses are paid, measured against regional benchmarks by family size. This is in addition to, not instead of, the standard DTI ratio. FHA and conventional underwriting do not require residual income analysis. Failure to meet residual income requirements can disqualify a VA borrower even if the DTI is acceptable.

35. Under the Ability-to-Repay (ATR) rule, a creditor must verify all of the following EXCEPT:

✓ **D) The borrower's projected future income from a planned career change**

ATR requires verification of: current and reasonably expected income or assets, employment status, credit history, monthly payment on the covered transaction, simultaneous loan payments, mortgage-related obligations, and current debts. Projected future income from a planned career change (D) is speculative and not an ATR verification requirement. ATR focuses on current, verifiable financial information.

36. A Qualified Mortgage (QM) Safe Harbor loan provides what protection to the lender?

✓ **B) A conclusive presumption of compliance with the Ability-to-Repay rule**

A QM Safe Harbor loan provides a conclusive presumption of ATR compliance — making it extremely difficult for a borrower to successfully challenge the lender's ATR compliance in court. The QM Rebuttable Presumption (for higher-priced QMs) is a weaker standard. Safe Harbor does not guarantee GSE eligibility (D) — that depends on conforming loan limits and other guidelines — and does not exempt lenders from CFPB oversight (A).

37. A 5/1 ARM has an initial rate of 4.00% with 2/2/5 caps. The initial cap is 2%. After the fixed period, the index has risen by 3%. What is the MAXIMUM rate at the first adjustment?

✓ **D) 6.00% (initial rate + initial cap of 2%)**

The initial/first adjustment cap of 2% limits the first rate change to +2% over the initial note rate, regardless of how much the index has moved. $4.00\% + 2.00\% = 6.00\%$ maximum at first adjustment. Even though the index rose 3%, the cap prevents that full increase from being passed through. The 2% initial cap — not the index movement — controls the first adjustment ceiling.

38. For a Qualified Mortgage ARM, the lender must qualify the borrower at which rate?

✓ B) The maximum interest rate that could apply during the first 5 years of the loan

For QM adjustable-rate mortgages, lenders must underwrite the borrower at the maximum interest rate during the first 5 years. This prevents qualifying at artificially low introductory rates. If the maximum rate in the first 5 years occurs at the first adjustment (common in 5/1 ARMs), that is the qualifying rate. Qualifying at the lifetime cap (D) would be even more conservative but is not required.

39. A borrower's gross monthly income is \$8,000. Their proposed PITI is \$1,920, monthly car payment is \$400, credit card minimum is \$200, and student loan payment is \$150. What is their back-end DTI ratio?

✓ A) 33.38%

Back-end DTI = all monthly obligations / gross monthly income. Total monthly debts: $\$1,920 + \$400 + \$200 + \$150 = \$2,670$. $\$2,670 / \$8,000 = 33.375\%$, approximately 33.38%. The front-end DTI (B) would be $\$1,920 / \$8,000 = 24.00\%$. The back-end ratio always includes all recurring monthly debts including the proposed housing payment.

40. A property is under contract for \$320,000 and appraised at \$310,000. The borrower requests an 80% LTV conventional loan. What is the maximum loan amount the lender will approve?

✓ C) \$248,000

LTV is always calculated using the LESSER of the purchase price or appraised value. Since $\$310,000$ (appraised value) $<$ $\$320,000$ (purchase price), use $\$310,000$. Maximum loan = $80\% \times \$310,000 = \$248,000$. Using the purchase price to calculate LTV (A: $80\% \times \$320,000 = \$256,000$) overstates the loan amount. Lenders use the lesser value to protect against financing above the property's proven worth.

41. A residential appraisal primarily estimates which type of value?

✓ A) Market value — the most probable price in a competitive open market under fair sale conditions

Residential appraisals estimate market value — the most probable price a property would bring between a willing buyer and willing seller, both with reasonable knowledge, in an arm's-length transaction. Assessed value (B) is for property tax purposes and may differ significantly. Appraisers use three approaches: sales comparison, cost, and income — with sales comparison typically given most weight for residential properties.

42. Under the Homeowners Protection Act (HPA), at what LTV must a lender AUTOMATICALLY cancel PMI on a conventional loan?

✓ C) 78% LTV based on the original amortization schedule

The Homeowners Protection Act requires automatic PMI cancellation when the LTV reaches 78% based on the original amortization schedule — meaning scheduled payments reach 78% LTV, not counting any accelerated paydown. Borrowers may REQUEST cancellation at 80% LTV. The 78% threshold uses original property value, not current market appreciation. This is the statutory automatic cancellation, not the borrower-initiated request.

43. A subordination agreement is MOST commonly executed when:

✓ B) A junior lienholder agrees to maintain their subordinate position when the senior mortgage is refinanced

A subordination agreement is used when a second lienholder (such as a HELOC lender) agrees to keep their lien in second position behind a new first mortgage, typically during a refinance of the first mortgage. Without a subordination agreement, the new loan would record after the existing second lien and would be in subordinate position — which most first mortgage lenders will not accept.

44. Which type of title insurance policy protects the LENDER against title defects and is typically required at closing?

✓ D) Lender's title insurance policy (loan policy)

The lender's title insurance policy protects the lender's interest (up to the loan amount) against title defects and is required by virtually all mortgage lenders. It decreases in coverage as the loan balance is paid down. The owner's policy (A) is separate, protects the borrower's equity interest in full, and is typically optional but strongly recommended. Both policies are commonly issued simultaneously at closing.

45. A veteran with full VA entitlement is purchasing a home for \$400,000. The county conforming loan limit is \$766,550. No down payment has been made on a prior VA loan. What down payment is required?

✓ B) No down payment required

Veterans with full (unimpaired) VA entitlement can borrow up to the conforming loan limit with no down payment required. Since $\$400,000$ is below the $\$766,550$ county limit and the veteran has full entitlement, zero down is required. The VA guaranty covers 25% of the loan amount, eliminating the lender's need for a down payment. A down payment is only required when the purchase price exceeds the remaining entitlement.

46. Under QM rules, the maximum allowable points and fees for a loan amount of \$120,000 is:

✓ D) 3% (\$3,600)

For QM loans of $\$100,000$ or more, points and fees cannot exceed 3% of the total loan amount. For this $\$120,000$ loan: $3\% \times \$120,000 = \$3,600$ maximum. The 5% threshold (B) applies to loans between approximately $\$60,000$ and $\$100,000$. The 3% cap is a bright-line rule — exceeding it disqualifies the loan from QM status regardless of other underwriting quality.

47. A borrower is purchasing a \$400,000 home that appraised at \$415,000. Their loan amount is \$320,000. The LTV ratio used for underwriting purposes is:

✓ C) 80.0% based on the lesser of purchase price or appraised value

LTV is always calculated using the LESSER of the purchase price or appraised value. \$400,000 (purchase price) < \$415,000 (appraised value), so use \$400,000. $LTV = \$320,000 / \$400,000 = 80.0\%$. Using the higher appraised value (A: $\$320,000 / \$415,000 = 77.1\%$) would make the loan appear less risky than warranted. The lesser-value rule protects against inflated appraisals.

48. The 'fully indexed rate' on an ARM is correctly calculated as:

✓ A) Current index value plus the margin

Fully indexed rate (FIR) = current index value + margin. The margin is fixed for the life of the loan; the index fluctuates with market conditions. For example, if the SOFR index is 2.50% and the margin is 2.75%, the FIR is 5.25%. The initial rate may be different from the FIR if a discounted teaser rate was offered. Answer D confuses the current index with the initial rate.

49. When a comparable sale has FEWER amenities than the subject property, an appraiser will make which type of adjustment to the comparable's sale price?

✓ C) An upward adjustment because the inferior comparable would have sold for more if it equaled the subject

Appraisal adjustments are always made to the comparable — never to the subject property. If the comparable is INFERIOR (fewer features than the subject), the comparable's price is adjusted UPWARD because the comparable would have sold for more had it been equal to the subject. The mnemonic 'CIA — Comparable Inferior, Add' helps remember this. If the comparable is superior, the appraiser subtracts.

50. A borrower uses a piggyback loan structure of 80/10/10. This means:

✓ A) 80% first mortgage, 10% second mortgage, 10% cash down — eliminating PMI on the first lien

An 80/10/10 piggyback means: 80% first mortgage (below the 80% LTV threshold that triggers PMI), 10% second mortgage (home equity loan or HELOC), and 10% cash down payment from the borrower. The structure avoids PMI on the first mortgage while allowing the borrower to put down only 10% total. The second lien carries a higher rate reflecting its subordinate credit risk.

51. The FHA Upfront Mortgage Insurance Premium (UFMIP) for a standard purchase loan is:

✓ D) 1.75% of the base loan amount, which may be financed into the loan balance

FHA charges an Upfront MIP of 1.75% of the base loan amount at closing, which may be financed into the loan rather than paid out of pocket. The annual MIP (approximately 0.55% in recent years) is paid monthly. The 2.15% figure (B) is the VA funding fee for first-time use with 0% down — confusing FHA and VA fees is a frequent exam mistake.

52. Which statement about USDA Guaranteed Rural Housing loans is MOST accurate?

✓ B) USDA loans provide 100% financing with no down payment for eligible borrowers in eligible rural areas

USDA Guaranteed Rural Housing loans offer 100% financing (no down payment required) for eligible borrowers in USDA-designated rural areas, subject to income limits. They are not limited to farmers (C) — any qualifying buyer in a rural area may apply. There is no statutory minimum FICO score (D); lenders typically set overlays around 640 but this is lender policy, not statute. The 3.5% down (A) is FHA's requirement.

53. A borrower earns \$6,500/month gross. Conventional guidelines are 28% front-end and 36% back-end DTI. The borrower has \$600/month in existing monthly debts. What is the maximum allowable PITI?

✓ D) \$1,740 (back-end constraint is more restrictive)

Two calculations: Front-end limit: $28\% \times \$6,500 = \$1,820$. Back-end limit: $36\% \times \$6,500 = \$2,340$ total monthly debt; minus \$600 existing debts = \$1,740 available for PITI. The maximum PITI is the LESSER of the two results: $\min(\$1,820, \$1,740) = \$1,740$. The back-end constraint is more restrictive here because existing debts reduce the available housing payment capacity.

54. In a declining market, which document requires the appraiser to analyze local market conditions and justify the use of older comparable sales?

✓ B) Fannie Mae Form 1004MC (Market Conditions Addendum)

Fannie Mae's Form 1004MC (Market Conditions Addendum) requires appraisers to analyze and report local market trends, including supply, demand, marketing times, and price direction. In declining markets, appraisers must specifically address the appropriateness of comparable selection and make market condition adjustments. This addendum was introduced after the housing crisis to improve market condition transparency in appraisals.

55. For a self-employed borrower, lenders typically use which income figure for mortgage qualifying purposes?

✓ **A) The 2-year average of net taxable income from Schedule C or K-1, with allowable add-backs**

For self-employed borrowers, lenders use the 2-year average of taxable income as shown on federal tax returns (Schedule C for sole proprietors, Schedule K-1 for partnerships/S-corps), with add-backs for non-cash deductions like depreciation. Gross revenues (B) do not reflect net income available for debt service. Standard guidelines require only 2 years of returns (D says 3, which is incorrect for most programs).

56. A 7/1 ARM has an initial note rate of 5.50% and a lifetime cap of 5%. What is the MAXIMUM rate this loan could ever reach over its life?

✓ **C) 10.50%**

The lifetime cap is applied to the initial note rate at origination. Maximum possible rate = 5.50% (initial rate) + 5.00% (lifetime cap) = 10.50%. The periodic annual adjustment cap limits each individual year's change, but the lifetime cap sets the absolute ceiling over the loan's life. The annual cap cannot override the lifetime cap — the lower of the two always applies to any given adjustment.

57. On the Uniform Residential Loan Application (URLA/Form 1003), which section requires the borrower to disclose the intended property occupancy type?

✓ **A) Section I — Property Information and Purpose of Loan**

Section I of the 1003 covers Property Information and Purpose of Loan, where the borrower discloses occupancy type: primary residence, secondary residence, or investment property. This designation affects loan terms, pricing, and underwriting guidelines. Section VIII (D) covers declarations about bankruptcies, outstanding judgments, and other legal matters, not occupancy designation.

58. Federal regulation requires lenders to collect government monitoring information (race, ethnicity, sex) for which applications?

✓ **C) All applications for closed-end first-lien home purchase or refinance loans on one-to-four family properties**

Regulations require collection of applicant demographic information (ethnicity, race, sex) for all applications for closed-end credit secured by a first lien on one-to-four family dwellings, regardless of loan program type. If the applicant declines to provide the information in a face-to-face or telephone interview, the interviewer must record it based on visual observation or surname.

59. For Fannie Mae conventional conforming guidelines, what is the standard waiting period after a Chapter 7 bankruptcy discharge before a borrower may obtain a new mortgage?

✓ **B) 4 years from the discharge date**

Fannie Mae requires a 4-year waiting period from the Chapter 7 bankruptcy discharge date for a new conventional conforming loan. With documented extenuating circumstances (such as serious illness or job loss), this may be reduced to 2 years (A). Foreclosure requires 7 years (C), which is longer. Chapter 13 requires 2 years from discharge or 4 years from dismissal.

60. A borrower's credit report shows an unpaid collection account for \$800. For FHA underwriting, the standard guidance is:

✓ **D) The lender may allow the collection to remain unpaid but must document that it will not impact the borrower's ability to repay**

FHA guidelines generally allow collection accounts to remain unpaid, but lenders must document that the collection will not impact the borrower's repayment ability. Lenders may choose to require payoff or payment plans based on their overlays. The 5% rule (B) in Fannie Mae guidelines applies to student loans without a payment, not FHA collections. FHA does not have a blanket exclusion for collections under \$1,000.

61. A borrower receives \$2,000 per month in court-ordered child support. The divorce decree shows 4 years remaining on the support obligation. Can this income be used for qualifying?

✓ **B) Yes; documented child support with at least 3 years remaining may be used for qualifying**

Child support income may be used for qualifying if it is documented (divorce decree or court order) and has at least 3 years remaining. Most guidelines do not require indefinite continuation — just 3 more years. There is no 75% reduction (C) for child support, unlike rental income. With 4 years remaining, this income clearly qualifies for inclusion in the mortgage application.

62. When incorporating overtime income into a borrower's qualifying income, lenders typically require:

✓ **D) 2-year average of overtime income if it is likely to continue**

Fannie Mae guidelines allow overtime and bonus income to be averaged over 2 years if it has been received for at least 2 years and is likely to continue. If overtime was received for less than 2 years, lenders may still consider it with additional documentation and compensating factors. Requiring only 1 year (C) understates the standard guideline, and excluding it entirely (B) is overly conservative.

63. Under TRID's three-tier tolerance structure, which category of fees is subject to ZERO tolerance — meaning any increase at closing requires a cure payment to the borrower?

✓ C) Lender origination charges and fees for required services where the borrower cannot shop

Zero tolerance applies to: lender origination charges, transfer taxes, and fees for required settlement services for which the borrower was not permitted to shop. Any increase in these fees beyond the LE amount requires a cure. The 10% tolerance applies to services on the written provider list and recording fees (B). Unlimited tolerance (D) applies to prepaid items and services the borrower shops for independently.

64. A borrower asks to lock their interest rate on an application that had a floating rate LE. A revised LE is issued reflecting the locked rate. Under TRID, this revised LE:

✓ A) Does not trigger a new 3-business-day waiting period before consummation

When a borrower locks their floating interest rate, a revised LE must be provided reflecting the locked rate, but this revision does NOT trigger a new 3-business-day waiting period. This is a specific exception under TRID. New 3-day waiting periods for a revised CD are triggered by APR tolerance breaches, product changes (fixed to ARM), and prepayment penalty additions — not rate lock confirmations.

65. A lender originates a 'stated income, stated asset' (SISA) loan where income and assets are not verified. Under current regulations, this loan is BEST characterized as:

✓ C) A non-QM loan that fails to satisfy ATR verification requirements

The ATR rule requires verification of income using reasonably reliable third-party records. A stated income loan without verification does not satisfy ATR and cannot achieve QM status. Bank statement loans (D) can potentially satisfy ATR — the key is that bank statements serve as documentation that verifies income, unlike a purely stated income approach with no documentation.

66. A loan with a 10-year interest-only period followed by a 20-year amortizing period is presented for QM consideration. This loan:

✓ A) Cannot be a QM under any circumstances — interest-only features are prohibited from QM status

Interest-only loans are categorically prohibited from QM status. The QM rules list specific prohibited features: negative amortization, interest-only payments, balloon payments (with limited exceptions), loan terms exceeding 30 years, and points/fees exceeding 3%. These are bright-line rules — no DTI (B), GSE eligibility (C), or origination date (D) exception overrides the prohibition on interest-only payments.

67. At closing, the document that transfers legal title to the property from seller to buyer is the:

✓ D) Warranty deed or grant deed

The deed (warranty deed, grant deed, or quitclaim deed) is the instrument that conveys ownership from seller to buyer and is recorded in public land records. The deed of trust (A) or mortgage creates the lender's security interest in the property — it does not transfer title. The promissory note (B) is the borrower's promise to repay. Title transfer and the mortgage lien are two distinct legal documents executed at closing.

68. Under the Bank Secrecy Act (BSA), a Currency Transaction Report (CTR) must be filed when a transaction involves how much in cash?

✓ B) \$10,000 or more

CTRs must be filed for any cash transaction exceeding \$10,000 under the Bank Secrecy Act. This is mandatory and automatic — not based on any suspicion of wrongdoing. A Suspicious Activity Report (SAR) is filed when there are reasonable grounds to suspect money laundering or fraud, regardless of dollar amount. 'Structuring' (breaking transactions into amounts just under \$10,000 to avoid CTRs) is itself a federal crime.

69. A 'rapid rescore' service in mortgage lending allows a lender to:

✓ D) Quickly update verified changes to credit report information, resulting in an improved score within days

Rapid rescore is a service through lenders and credit bureaus allowing verified payoffs, corrections, or account closures to be reflected on the credit report within 3-5 business days, instead of the typical 30+ day bureau update cycle. It requires documentation of the change. It cannot remove accurate negative information (C) — only errors or newly accurate positive information can be updated through rapid rescore.

70. A borrower owns a rental property generating \$2,000/month in gross rent per lease. The lender uses 75% of gross rents to account for vacancy. The property PITI is \$1,400/month. What amount of net rental income is added to the borrower's qualifying income?

✓ B) \$100/month (75% of gross rent minus PITI)

Effective gross rental income: $75\% \times \$2,000 = \$1,500$. Net cash flow to borrower: $\$1,500 - \$1,400 \text{ (PITI)} = \$100$ positive, added to qualifying income. If there were negative cash flow, it would be added to monthly obligations. The 75% vacancy factor is Fannie Mae's standard. Using 100% of gross rent (D) without the vacancy factor is not standard and overstates qualifying income.

71. Which of the following HMDA data points must be collected and reported for covered loans?

✓ **A) Loan purpose, property type, census tract, applicant race/ethnicity, loan amount, and action taken**

HMDA requires reporting of: loan purpose, property type (1-4 family, multifamily), geographic information including census tract, applicant demographics (race, ethnicity, sex), loan amount, and action taken (originated, denied, withdrawn, etc.). Current HMDA rules also require FICO scores, but the core required fields include geographic and demographic data. The fields in B, C, and D are not HMDA data points.

72. The MLO's NMLS unique identifier must appear on which of the following?

✓ **C) On all loan application documents and in all advertising**

The SAFE Act requires MLOs to include their NMLS unique identifier on all residential mortgage loan application documents and in all advertising. This applies regardless of whether the borrower requests it (D). The identifier must appear on the application itself, all initial disclosures, and any marketing materials. This allows regulators and consumers to verify the MLO's license status.

73. Under the old HUD rules, a 'yield spread premium' (YSP) was a payment made by:

✓ **A) The wholesale lender to the mortgage broker when the broker placed the borrower in a rate above the par rate**

A yield spread premium was a payment from the wholesale lender to the mortgage broker when the broker originated a loan at an above-par interest rate — effectively compensating the broker from the lender's yield on the higher-rate loan. YSPs were a source of abuse because brokers could earn more by placing borrowers in higher-rate loans. Dodd-Frank's LO compensation rules effectively ended YSPs by prohibiting LO compensation based on loan terms other than loan amount.

74. Which of the following is a recognized RED FLAG for mortgage application fraud?

✓ **C) An employment verification form showing a start date different from what appears on the application**

Inconsistent employment information — such as mismatched start dates between the application and verification — is a classic mortgage fraud red flag. Other red flags include: inflated appraisals, cash-out refis immediately after purchase (property flipping), undisclosed liabilities, and straw buyer arrangements. Short residence history (A) is common and not inherently suspicious; a small appraisal variance (B) is normal; credit card balances (D) are routine.

75. A 'rate-and-term refinance' (no cash-out) is defined as a transaction in which:

✓ **B) Loan proceeds pay off the existing first mortgage and allowable closing costs, with minimal or no cash to the borrower**

A rate-and-term (no cash-out) refinance uses proceeds to pay off the existing first mortgage balance, associated closing costs, and potentially a subordinate purchase-money second mortgage. Borrowers may receive a small amount back (typically up to \$2,000 under conventional guidelines) without converting to a cash-out transaction. A rate reduction (C) is not required — borrowers may refinance from ARM to fixed without a lower rate.

76. When a borrower receives non-taxable Social Security income, lenders may 'gross up' this income for qualifying by what standard percentage?

✓ **D) 25%**

When Social Security income is not subject to federal income tax, lenders may gross up the non-taxable amount by 25% to reflect its pre-tax equivalent for qualifying purposes. Fannie Mae and FHA guidelines generally permit this 25% gross-up. For example, \$2,000/month non-taxable Social Security becomes \$2,500 for qualifying. Some lenders use a 15% gross-up (B), but the Fannie Mae/FHA standard is 25%.

77. Which feature would DISQUALIFY a loan from QM Safe Harbor status under the General QM definition?

✓ **B) Negative amortization during the first 3 years of the loan**

QM Safe Harbor prohibits five loan features: negative amortization, interest-only payments, balloon payments (generally), loan terms exceeding 30 years, and points/fees exceeding 3%. Negative amortization (B) is a bright-line prohibition with no exceptions. A 38% DTI (D) is acceptable. \$14,999 fees on a \$500,000 loan = 3.0%, right at the limit but acceptable. Low APR (A) is not disqualifying.

78. When a lender 'table funds' a mortgage loan, it means:

✓ **D) The lender provides funds to the settlement agent at or before closing for same-day disbursement**

Table funding occurs when a lender (often a wholesale lender using a mortgage broker) provides funds directly to the settlement table, enabling same-day disbursement. RESPA treats table-funded loans similarly to brokered transactions. This is distinguished from 'wet funding' (same day, common in most states) versus 'dry funding' (after documents are reviewed and approved, common in some western states).

79. During an in-person application interview, if a joint applicant declines to provide their demographic information (race, ethnicity, sex), the MLO must:

✓ **C) Complete the demographic information based on visual observation or the applicant's surname**

HMDA requires that when an applicant refuses to provide demographic information during a face-to-face or telephone interview, the interviewer must complete the information to the extent possible based on visual observation or surname. Simply leaving it blank (B) creates an incomplete HMDA record. The application continues normally (D is wrong); the declination is noted but the interviewer still records observed information.

80. A borrower's credit report shows a single 30-day mortgage late payment from 18 months ago. For conventional conforming underwriting, this situation:

✓ **A) May be acceptable depending on the overall credit profile and AUS findings**

A single isolated 30-day late payment from 18 months ago is a derogatory item but does not automatically disqualify a borrower for conventional financing. Automated Underwriting Systems (DU or LP) consider the full credit profile holistically. AUS approval with satisfactory findings can accommodate imperfect credit. A pattern of lates, recent lates, or more severe events (foreclosure, bankruptcy) carry much greater weight.

81. An underwriter requires a 'letter of explanation' for a \$15,000 large deposit to the borrower's bank account that appeared two months before closing. This requirement relates to:

✓ **C) Source of funds verification and anti-money laundering compliance**

Large or unusual bank deposits must be sourced and explained as part of the underwriting process. This stems from AML concerns and the need to verify that all closing funds come from acceptable sources (not undisclosed borrowed funds). The borrower must document the deposit's origin — payroll, gift, asset sale, tax refund, etc. Using borrowed funds for a down payment without disclosure is mortgage fraud.

82. A 'portfolio loan' is BEST described as:

✓ **A) A loan originated by a lender who retains it in-house rather than selling it on the secondary market**

A portfolio loan is one that the originating lender holds in its own loan portfolio rather than selling to the secondary market. Because portfolio lenders bear the credit risk themselves, they can offer more flexible underwriting than conforming Fannie/Freddie products. Portfolio loans often serve jumbo borrowers, non-QM borrowers, and those with unique property types. MBS (C) are securities backed by pools of mortgages, the opposite of portfolio retention.

83. A borrower has a base salary of \$60,000/year. Their bonus was \$8,000 in year 1 and \$12,000 in year 2. The bonus income is expected to continue. How much bonus income may be used for qualifying?

✓ **D) \$10,000/year (2-year average)**

Variable income such as bonuses is averaged over 2 years when received for at least 2 years and expected to continue. Average = $(\$8,000 + \$12,000) / 2 = \$10,000/\text{year}$ (\$833.33/month). Using only the current year (A) or the lower year (B) would not follow the 2-year averaging requirement. This monthly amount is then added to the base monthly salary (\$5,000) for total qualifying income.

84. Which of the following is considered a 'finance charge' under Regulation Z (TILA)?

✓ **B) Mortgage insurance premium (PMI/MIP) required by the lender as a condition of the loan**

Finance charges under TILA/Reg Z are charges imposed by the creditor as a condition of extending credit. PMI/MIP required by the lender as a loan condition (B) is a finance charge because the borrower must pay it to obtain the loan. Appraisal fees (A) to independent third parties and title fees (D) to third-party settlement service providers are excluded from finance charges under TILA.

85. The primary purpose of a title search in the mortgage process is to:

✓ **D) Review public records to identify outstanding liens, encumbrances, and ownership defects affecting the property**

A title search examines public records (deeds, court records, tax liens, judgments) to identify any claims, encumbrances, easements, or defects that could affect ownership or the lender's security interest. This process precedes issuance of title insurance. Market value (A) is determined by appraisal. Property boundaries are established by a survey. Zoning verification (B) is a separate municipal process.

86. A financial institution must file a Suspicious Activity Report (SAR) for transactions suspected of involving money laundering when the amount is at least:

✓ **B) \$5,000 with a known suspect; \$25,000 without an identified suspect**

Under FinCEN regulations, depository institutions must file a SAR for: transactions of \$5,000 or more where a subject can be identified and illegal activity is suspected; OR transactions of \$25,000 or more where illegal activity is suspected even if no subject can be identified. This is distinct from CTRs, which are filed for any cash transaction over \$10,000 regardless of suspicion. Mortgage companies also have SAR filing obligations.

87. Under UDAAP, which element is required to establish that a practice is 'UNFAIR'?

✓ A) Substantial injury to consumers that is not reasonably avoidable and not outweighed by benefits

The three-part test for 'unfair' under UDAAP is: (1) substantial injury to consumers, (2) injury not reasonably avoidable by consumers, and (3) injury not outweighed by countervailing benefits. Intent to harm (D) is NOT required for unfairness — a practice can be unfair even without any malicious intent. Option B describes 'deceptive,' and C describes 'abusive.'

88. A mortgage advertisement states: 'GUARANTEED lowest rate! Everyone qualifies regardless of credit! This MOST directly violates which UDAAP standard?

✓ C) Deceptive — misleads reasonable consumers about material loan terms and eligibility

Guaranteeing the lowest rate and universal approval regardless of credit creates a misleading impression about loan availability and terms that a reasonable consumer would rely upon — the definition of deceptive under UDAAP. It is material because loan rates and eligibility are core transaction terms. Advertising puffery (D) applies to vague superlatives, not specific factual misrepresentations about rate and qualification.

89. Which of the following BEST exemplifies 'fraud for profit' rather than 'fraud for housing'?

✓ A) An appraiser and MLO conspire to inflate an appraisal to generate a larger loan and collect larger commissions

Fraud for profit involves industry insiders (appraisers, MLOs, attorneys, real estate agents) manipulating the lending process for financial gain — it accounts for approximately 80% of mortgage fraud dollar losses. Fraud for housing (B, C, D) involves borrowers misrepresenting information to qualify for a loan they couldn't otherwise obtain. The key distinction: insiders exploiting for profit vs. borrowers seeking housing.

90. An MLO discovers after closing that the borrower slightly inflated their income on the loan application. The MLO's ethical and regulatory obligation is to:

✓ C) Report the suspected fraud to their supervisor or compliance department to trigger appropriate review

MLOs have both ethical and regulatory obligations to report suspected mortgage fraud, even after closing. Failing to report known fraud can expose the MLO to criminal liability as a knowing participant or accessory. Compliance departments and BSA officers determine whether a SAR filing is warranted. Inaction (A) is not ethically acceptable and may constitute concealment of a crime.

91. An MLO receives \$100 per referral from a title company for every borrower they send to that company. Under RESPA and professional ethics standards, this arrangement:

✓ B) Violates RESPA Section 8 and creates an impermissible conflict of interest

RESPA Section 8(a) prohibits any fee, kickback, or thing of value in exchange for referrals of settlement service business. An MLO receiving per-referral payments from a title company is an illegal kickback arrangement. There is no dollar threshold below which referral payments are lawful (A). Disclosure (C) does not cure a RESPA Section 8 violation. The AfBA exemption (D) requires actual equity ownership, not a referral fee arrangement.

92. Which practice is MOST commonly associated with predatory mortgage lending?

✓ D) Repeatedly refinancing a borrower's mortgage to generate origination fees without providing a net benefit

Loan flipping — repeatedly refinancing a borrower's mortgage primarily to generate new origination fees, with each refinance stripping equity — is a hallmark of predatory lending. HOEPA specifically prohibits loan flipping on high-cost mortgages. Options A, B, and C represent responsible, ethical mortgage origination practices, not predatory conduct.

93. Under UDAAP, an 'abusive' act or practice is MOST directly one that:

✓ B) Takes unreasonable advantage of a consumer's reasonable reliance on the covered person to act in the consumer's interest

UDAAP's 'abusive' standard under Dodd-Frank Section 1031 includes acts that: (1) materially interfere with consumers' understanding of terms, or (2) take unreasonable advantage of (a) consumer lack of understanding, (b) consumer's inability to protect their interests, or (c) consumer's reasonable reliance on the covered person to act in their interests. Option B is the precise 'reasonable reliance' prong. Option A describes 'deceptive.'

94. In a mortgage fraud scheme, a 'straw buyer' is BEST described as:

✓ D) A person who allows their name and credit profile to be used on a mortgage application for property they will not occupy or own

A straw buyer allows their identity and creditworthiness to be used to obtain a mortgage on behalf of a third party — typically someone ineligible for credit — in exchange for a fee. The actual purchaser hides behind the straw buyer's credentials. This is a federal crime (making false statements on mortgage applications) and constitutes both identity fraud and occupancy fraud. It is one of the most common forms of organized mortgage fraud.

95. An MLO whose license is under investigation for a consumer complaint should BEST respond by:

✓ **C) Cooperating fully with the investigation by providing accurate information and following legal counsel's advice**

Proper professional conduct during a regulatory investigation requires cooperation with the investigating authority, full and accurate disclosure of requested information, and following the advice of legal counsel. Destroying records (D) constitutes obstruction of justice and would significantly compound any existing violations. Complete refusal to communicate (A) without legal basis may result in adverse regulatory inference and additional sanctions.

96. Which loan product, when marketed without adequate disclosure and counseling, is MOST commonly associated with predatory lending targeting elderly homeowners?

✓ **A) Reverse mortgage with high upfront fees, insufficient disclosure, and pressure sales tactics**

Reverse mortgages (HECMs and proprietary products) can be appropriate tools for seniors but are frequently used in predatory schemes — featuring excessive fees, misleading marketing, and targeting of isolated elderly homeowners. HUD requires mandatory independent counseling before originating a HECM specifically to address predatory practices. Standard purchase and refinance products (B, C, D) do not have the same inherent predatory risk profile.

97. An MLO advertises '1% Fixed Rate for Life!' when the actual product is a 1% one-year teaser rate that adjusts to market rates annually thereafter. This advertisement MOST directly violates:

✓ **C) UDAAP deceptive practices standards and Reg Z ARM advertising requirements**

This ad is deceptive under UDAAP (misleads reasonable consumers about a material term — the loan's long-term rate structure) and violates Reg Z, which requires that ARM advertisements disclose rate adjustment terms when advertising a specific initial rate. Claiming a '1% fixed rate for life' when the product is an ARM with a teaser rate is a material misrepresentation. RESPA (B) governs settlement services fees, not advertising content.

98. Which of the following BEST describes 'occupancy fraud' in mortgage lending?

✓ **A) A borrower misrepresents the property's intended use as a primary residence to obtain lower rates, when they actually plan to use it as a rental investment property**

Occupancy fraud occurs when a borrower misrepresents the intended property use — claiming primary occupancy to obtain lower rates and higher allowable LTV ratios, while intending to use the property as an investment or rental. This is a material misrepresentation that directly affects loan terms and is a federal crime. It is also one of the most common forms of individual mortgage fraud.

99. A real estate agent gives an MLO a \$100 gift card as a 'thank you' after a loan closes on a mutual client. Under RESPA and professional ethics guidelines:

✓ **D) This may constitute an illegal kickback under RESPA Section 8 if it was given in exchange for the referral of settlement services**

RESPA Section 8 prohibits giving or accepting anything of value in exchange for referrals of settlement service business. A gift card given as a 'thank you' for a closed loan — where the loan involved a referral from the agent — may be considered compensation for that referral, violating RESPA regardless of dollar amount. There is no safe harbor for small gifts (A) when they are connected to a referral relationship.

100. Under HOEPA, before a high-cost mortgage is consummated, the lender is required to ensure the borrower has received:

✓ **B) Homeownership counseling from a HUD-approved housing counseling agency**

HOEPA requires that borrowers receive homeownership counseling from a federally approved housing counselor before a high-cost mortgage closes. This mandatory pre-loan counseling ensures borrowers understand the risks associated with high-cost loan features. The counselor must be independent — not associated with the lender. There is no statutory 10-hour course requirement (C) or attorney review requirement (D) under HOEPA.

101. An MLO adds undisclosed fees to a borrower's loan at closing that were not on either the Loan Estimate or the Closing Disclosure. In addition to TRID violations, this practice constitutes:

✓ **D) An unfair and deceptive act or practice under UDAAP**

Adding undisclosed fees at closing is both a TRID violation and an unfair/deceptive UDAAP violation. It causes financial harm to consumers (unfair) through false representation of total costs (deceptive). TRID violations may be cured by paying the difference, but UDAAP violations can trigger independent enforcement actions and consumer remedies. The practices are separate violations with distinct legal consequences.

102. What is an 'air loan' in the context of mortgage fraud?

✓ **B) A loan originated for a non-existent property using a fictitious borrower and fabricated documents**

An air loan is a sophisticated fraud scheme where a mortgage is originated on a non-existent property with a fictitious borrower and completely fabricated documentation. There is no real collateral — the loan exists 'in the air.' It typically requires insider participation (title agents, appraisers, escrow officers). The fraud often goes undetected until default since there is no real property or borrower to locate.

103. An MLO is required by their state to maintain errors and omissions (E&O;) insurance. The PRIMARY purpose of this requirement is to:

✓ **A) Protect consumers and the MLO from financial losses caused by the MLO's professional mistakes or negligence**

Errors and omissions (E&O;) insurance protects both the professional (MLO) and their clients against financial losses from professional mistakes, negligence, or errors in job performance. It provides coverage for damages arising from professional services. E&O; does not replace a surety bond (B) — these are separate, distinct requirements. It has nothing to do with licensing fees (C) or loan default losses (D).

104. An MLO recommends a higher-rate subprime loan to a minority borrower who clearly qualifies for a lower-rate conventional loan. This practice is BEST characterized as:

✓ **C) Reverse redlining — a Fair Housing Act and potential UDAAP violation**

Steering creditworthy minority borrowers into higher-cost loan products when they qualify for better terms is 'reverse redlining' — a Fair Housing Act violation and potentially an ECOA and UDAAP violation. A disclosure or acknowledgment (A) does not cure the discriminatory conduct. The practice violates civil rights laws regardless of QM status (D). This has been the basis of major fair lending enforcement actions against large lenders.

105. Which federal agency has primary UDAAP examination and enforcement authority over non-depository mortgage companies?

✓ **A) Consumer Financial Protection Bureau (CFPB)**

The CFPB has primary UDAAP examination and enforcement authority over non-bank financial companies, including independent mortgage companies and mortgage brokers. The OCC (B) supervises national banks; the FDIC (C) supervises state non-member banks; the FRB (D) oversees bank holding companies. The CFPB was created by Dodd-Frank specifically to consolidate consumer financial protection authority over both bank and non-bank entities.

106. The SAFE Act requires state-licensed MLOs to complete how many hours of pre-licensing education?

✓ **C) 20 hours total**

The SAFE Act mandates 20 hours of pre-licensing education for state-licensed MLOs: 3 hours of federal law, 3 hours of ethics (including fraud, consumer protection, and fair lending), 2 hours of non-traditional mortgage lending, and 12 hours of elective content. The 8-hour figure (A) is the annual continuing education requirement, not pre-licensing. Registered MLOs (at depository institutions) are not required to complete pre-licensing education.

107. How many hours of continuing education must a state-licensed MLO complete annually to maintain their license?

✓ **B) 8 hours**

The SAFE Act requires 8 hours of annual continuing education for state-licensed MLOs: 3 hours of federal law updates, 2 hours of ethics, 2 hours of non-traditional mortgage lending, and 1 hour of undefined/elective (or state-specific) content. The 20-hour requirement (D) is for initial pre-licensing education. Completing CE in one state does not automatically satisfy CE requirements in another state.

108. Under SAFE Act CE rules, an MLO who completes the exact same NMLS-approved CE course they took last year will:

✓ **D) Receive no CE credit for taking the same course in the same or subsequent licensing year**

The SAFE Act's 'no repeat credit' rule prohibits MLOs from receiving CE credit for completing the same NMLS-approved course in the same or immediately subsequent licensing year. This ensures MLOs are exposed to new and updated material each year rather than simply replaying familiar content. NMLS tracks course completion history to enforce this rule.

109. A 'registered MLO' under the SAFE Act is an employee of which type of institution?

✓ **B) A federally chartered or insured depository institution such as a bank, thrift, or credit union**

Registered MLOs are employees of federally regulated depository institutions — national banks, federal savings associations, federally chartered credit unions, and their subsidiaries. They register through NMLS but are NOT required to complete pre-licensing education or pass the NMLS SAFE exam. Their employers are supervised by federal banking regulators (OCC, FDIC, NCUA, Federal Reserve) who oversee their mortgage activities.

110. A registered MLO at a federal savings bank moves to a state-licensed mortgage company. Under transitional licensing provisions, the MLO may continue originating loans for how long while their state license application is pending?

✓ **D) 120 days**

The SAFE Act's transitional license provision allows registered MLOs moving to a state-licensed environment — and state-licensed MLOs moving to a new state — to originate loans for up to 120 days while their license application is being processed. After 120 days, the MLO must have obtained the state license or cease originating residential mortgage loans in that state.

111. Under the SAFE Act, which criminal conviction results in a PERMANENT bar from obtaining a state MLO license?

✓ **C) Any felony involving fraud, dishonesty, breach of trust, or money laundering at any point in time**

The SAFE Act permanently bars individuals convicted of a felony involving fraud, dishonesty, breach of trust, or money laundering — regardless of when the conviction occurred. This is the permanent bar. Other felony convictions within the past 7 years create a temporary disqualification but not a permanent bar. DUI convictions (D) are generally not disqualifying unless classified as a felony involving the specified categories.

112. The passing score for the NMLS SAFE Mortgage Loan Originator Test (National Component) is:

✓ **A) 75%**

The NMLS SAFE MLO National Component exam requires a minimum passing score of 75%. Test takers who fail must wait 30 days before the first two retakes. After three consecutive failures, a 180-day wait is required before attempting again. All questions are equally weighted — there is no partial credit. Some states also require a state-specific component in addition to the national test.

113. Which of the following is NOT a required disclosure on an NMLS MLO license application?

✓ **C) The applicant's personal investment portfolio composition and total net worth**

NMLS applications require disclosure of: criminal history (arrests AND convictions), regulatory actions, license denials and revocations in any jurisdiction, civil judgments related to financial services, and other background information. Personal investment portfolio composition and net worth (C) are not required NMLS disclosure fields. Background questions focus on character, fitness, and legal history rather than current wealth.

114. Under NMLS rules, passing scores on the SAFE MLO National Test are valid for how long?

✓ **A) 5 years**

NMLS SAFE test passing scores are valid for 5 years. If a licensee allows their license to lapse and more than 5 years have passed since passing the exam, they must retake the test before obtaining a new license. The 5-year window begins on the date the applicant passed the exam. This rule ensures MLOs do not rely on outdated test results as evidence of current knowledge.

115. The SAFE Act's annual ethics CE requirement specifically addresses which subjects?

✓ **D) Fraud prevention, consumer protection laws, and fair lending issues**

The SAFE Act requires 2 hours of annual ethics CE covering fraud prevention, consumer protection, and fair lending. This targeted content ensures MLOs stay current on their ethical obligations, predatory lending risks, and fair housing/ECOA compliance requirements. Tax implications for MLOs (A), investment property management (B), and appraisal methods (C) are not components of the required ethics CE.

116. An MLO must update their NMLS record to reflect a change in employer within how many days of the change?

✓ **B) 30 calendar days**

NMLS requires MLOs to update their record within 30 calendar days of any material change, including changes in employment, home address, or other required information. Timely updating ensures the NMLS registry accurately reflects the MLO's current licensing status and employer affiliation. Failure to update within 30 days may constitute a license law violation subject to regulatory action.

117. Which organization created and is responsible for operating the NMLS (Nationwide Multistate Licensing System)?

✓ **D) The Conference of State Bank Supervisors (CSBS) and the American Association of Residential Mortgage Regulators (AARMR)**

NMLS was created and is operated by the Conference of State Bank Supervisors (CSBS) and the American Association of Residential Mortgage Regulators (AARMR) as a cooperative state regulatory initiative. It is administered through the State Regulatory Registry LLC (SRR), a subsidiary of CSBS. While the CFPB (A) uses NMLS data and coordinates with state regulators, it did not create or operate the system.

118. A key distinction between a 'registered' MLO and a 'licensed' MLO under the SAFE Act is that registered MLOs:

✓ **B) Are NOT required to complete SAFE Act pre-licensing education or pass the national exam**

Registered MLOs — employees of federally chartered or insured depository institutions — must register in NMLS and obtain a unique identifier, but they are NOT required to complete pre-licensing education or pass the SAFE national exam. Their institutions are examined by federal banking regulators (OCC, Federal Reserve, FDIC, NCUA) who oversee mortgage lending compliance. State-licensed MLOs must meet the full 20-hour pre-license and exam requirements.

119. Under the SAFE Act, the definition of 'mortgage loan originator' includes any individual who takes a residential mortgage loan application OR:

✓ **A) Offers or negotiates terms of a residential mortgage loan for compensation or gain**

The SAFE Act defines a mortgage loan originator as someone who: (1) takes a residential mortgage loan application, AND/OR (2) offers or negotiates terms of a residential mortgage loan for compensation or gain. Either activity alone can trigger the definition. Administrative staff who only process paperwork without taking applications or negotiating terms are generally not MLOs under the SAFE Act definition.

120. Under the SAFE Act, which of the following individuals qualifies for an exemption from MLO licensing requirements?

✓ C) An attorney who negotiates mortgage terms solely as an ancillary part of their legal representation of a client

The SAFE Act specifically exempts attorneys who negotiate mortgage loan terms as an ancillary part of their legal representation of clients, provided they are not directly compensated by a lender, broker, or other loan originator. Real estate agents (B) who take applications are NOT exempt — this is a common misconception. Housing counselors (D) advise but do not originate loans, but the attorney exemption (C) is the specific statutory carve-out tested on the exam.

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	EXCELLENT ✓	Review any missed; you're on track to pass.
90–107 (75–89%)	PASS ✓	Close! Shore up weak topics in study notes.
72–89 (60–74%)	BORDERLINE	Re-read weak sections; retake this exam.
0–71 (below 60%)	NEEDS WORK	Study notes first, then retry in 24 hrs.